

No. 6/2023

**SUPPLEMENT
TO THE
REPUBLIC OF SINGAPORE
GOVERNMENT GAZETTE
FRIDAY, 4 AUGUST 2023**

**REPORT ON THE AUDIT OF
THE FINANCIAL STATEMENTS OF
THE HOUSING AND DEVELOPMENT BOARD
FOR THE YEAR ENDED 31ST MARCH 2023**

First published in the *Government Gazette*, Electronic Edition, on 3 August 2023 at 5 pm.

HOUSING AND DEVELOPMENT BOARD**STATEMENT BY THE BOARD OF THE
HOUSING AND DEVELOPMENT BOARD**

In our opinion,

- (a) the accompanying financial statements of the Housing and Development Board (“HDB”) and its subsidiaries (“Group”) set out on pages 9 to 66 are properly drawn up in accordance with the provisions of the Housing and Development Act 1959 (“H&D Act”), the Public Sector (Governance) Act 2018 (“PSG Act”), and Singapore Statutory Board Financial Reporting Standards (“SB-FRS”) so as to present fairly, in all material respects, the state of affairs of the Group and the HDB as at 31 March 2023, and of the results, changes in capital and reserves of the Group and the HDB and cash flows of the Group for the financial year ended on that date;
- (b) proper accounting and other records have been kept, including records of all assets of the HDB whether purchased, donated or otherwise; and
- (c) the receipts, expenditure, investment of moneys and the acquisition and disposal of assets by the HDB during the year have been, in all material respects, in accordance with the provisions of the H&D Act, the PSG Act, the Constitution of the Republic of Singapore, and the requirements of any other written law applicable to moneys of or managed by the HDB.

On behalf of the Board



BENNY LIM SIANG HOE
Chairperson



TAN MENG DUI
Chief Executive Officer

Singapore
29 May 2023

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF THE HOUSING AND DEVELOPMENT BOARD

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of the Housing and Development Board (“HDB”) and its subsidiaries (collectively, the “Group”), which comprise the balance sheets of the Group and the HDB as at 31 March 2023, the income and expenditure statements, statements of comprehensive income, statements of changes in capital and reserves of the Group and the HDB and the statement of cash flows of the Group for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements of the Group and the balance sheet, income and expenditure statement, statement of comprehensive income and statement of changes in capital and reserves are properly drawn up in accordance with the provisions of the Housing and Development Act 1959 (“H&D Act”), the Public Sector (Governance) Act 2018 (“PSG Act”), and Singapore Statutory Board Financial Reporting Standards (“SB-FRS”), so as to present fairly, in all material respects, the state of affairs of the Group and the HDB as at 31 March 2023 and the results and changes in capital and reserves of the Group and the HDB and cash flows of the Group for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with Singapore Standards on Auditing (“SSAs”). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Group in accordance with the Accounting and Corporate Regulatory Authority (“ACRA”) *Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities* (“ACRA Code”) together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements for the financial year ended 31 March 2023. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled our responsibilities described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis of our audit opinion on the accompanying financial statements.

Allowance for impairment losses for loans receivable

As at 31 March 2023, the Group's loans receivable balance amounted to \$38,323 million and it represents 43.1% of the total assets of the Group. Allowance for impairment losses for loans receivable amounted to \$2.2 million. Loans receivable relate to mortgage loans granted to buyers of flats under public housing schemes with the flats held as collateral.

The Group provides a loss allowance for loans in arrears for which the market value of the collateral is lower than the loans receivable balance. Under SB-FRS 109, management uses the expected credit loss (ECL) model to determine the loss allowance amount, taking into account key assumptions such as the estimated overdue loans and the estimated market value of the collateral. The probability of default of these loans is determined by considering historical default rates and forward-looking macroeconomic factors, particularly in light of the uncertain market and economic conditions. The market values are estimated using recent and expected resale prices of similar flat types in the vicinity. As the loan receivable balance is material and significant judgement is required to determine the adequacy of the allowance for impairment losses for loans receivable, we have identified this as a key audit matter.

We obtained an understanding of the Group's credit policy and estimation of the ECL process. We also evaluated and tested controls over the loans initiation and repayment processes. For the allowance of impairment losses on loans receivable, we involved our internal specialist to assist us in assessing the reasonableness of key assumptions and inputs of the ECL model, including performing sensitivity analyses and reviewing management's assessment of the impact of market and economic conditions in the measurement of ECL. With respect to the market value of the collateral, we checked the reasonableness of management's estimate to external sources. We further assessed the adequacy of the related disclosures in Note 8 to the financial statements.

*Key Audit Matters (continued)*Provision for loss on properties under development

As at 31 March 2023, the Group's provision for loss balance relating to properties under development amounted to \$9,666 million. Properties under development are stated at the lower of cost and their net realisable value. Provision for loss is determined as the excess of total estimated costs of a flat over the estimated net selling price of the flat.

The determination of the net realisable value of properties under development is significant to our audit due to its magnitude and significant management judgement involved in estimating the total development costs of the project and the estimated net selling price of a flat. In addition, there is heightened level of estimation uncertainty due to changes in market and economic conditions. As such, this is considered to be a key audit matter.

We reviewed the estimated net selling price determined by management by comparing to published sale price net of applicable grants. For total estimated costs of the development project, we tested key controls over the project monitoring process and tendering of contracts related to the development project and verified material variation orders to approved vendor contracts. We further obtained an understanding of management's process in determining the total estimated costs and status of the development project from project managers, and evaluated how the impact of market and economic conditions have been considered in the estimated cost to complete. We also assessed the robustness of management's estimation process by comparing actual costs incurred against estimated contract costs determined in prior year for major completed projects. We also assessed the adequacy of the disclosures in Note 14 to the financial statements.

Other Information

Management is responsible for the other information. The other information comprises the Statement by the Board of the Housing and Development Board, but does not include the financial statements and our auditor's report thereon, which we obtained prior to the date of this auditor's report, and the other sections of the annual report ("the Other Sections"), which are expected to be made available to us after that date.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with the provisions of the H&D Act, the PSG Act, and SB-FRS, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

A statutory board is constituted based on its Act and its dissolution requires Parliament's approval. In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless there is intention to wind up the Group or for the Group to cease operations.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SSAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

Auditor's Responsibilities for the Audit of the Financial Statements (continued)

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

Opinion

In our opinion:

- (a) the receipts, expenditure, investment of moneys and the acquisition and disposal of assets by the HDB during the year are, in all material respects, in accordance with the provisions of the H&D Act, the PSG Act, the Constitution of the Republic of Singapore, and the requirements of any other written law applicable to moneys of or managed by the HDB.
- (b) proper accounting and other records have been kept, including records of all assets of the HDB whether purchased, donated or otherwise.

Basis for Opinion

We conducted our audit in accordance with SSAs. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Compliance Audit* section of our report. We are independent of the Group in accordance with the ACRA Code together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code. We believe that our audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on management's compliance.

Responsibilities of Management for Compliance with Legal and Regulatory Requirements

Management is responsible for ensuring that the receipts, expenditure, investment of moneys and the acquisition and disposal of assets, are in accordance with the provisions of the H&D Act, the PSG Act, the Constitution of the Republic of Singapore, and the requirements of any other written law applicable to moneys of or managed by the HDB. This responsibility includes monitoring related compliance requirements relevant to the HDB, and implementing internal controls as management determines are necessary to enable compliance with the requirements.

Auditor's Responsibility for the Compliance Audit

Our responsibility is to express an opinion on management's compliance based on our audit of the financial statements. We planned and performed the compliance audit to obtain reasonable assurance about whether the receipts, expenditure, investment of moneys and the acquisition and disposal of assets, are in accordance with the provisions of the H&D Act, the PSG Act, the Constitution of the Republic of Singapore, and the requirements of any other written law applicable to moneys of or managed by the HDB.

Auditor's Responsibility for the Compliance Audit (continued)

Our compliance audit includes obtaining an understanding of the internal control relevant to the receipts, expenditure, investment of moneys and the acquisition and disposal of assets; and assessing the risks of material misstatement of the financial statements from non-compliance, if any, but not for the purpose of expressing an opinion on the effectiveness of the HDB's internal control. Because of the inherent limitations in any accounting and internal control system, non-compliances may nevertheless occur and not be detected.

The engagement partner on the audit resulting in this independent auditor's report is Eleanor Lee.

A handwritten signature in black ink, appearing to read "Ernst & Young LLP", written in a cursive, flowing style.

Ernst & Young LLP
Public Accountants and
Chartered Accountants
Singapore
29 May 2023

HOUSING AND DEVELOPMENT BOARD AND ITS SUBSIDIARIES

BALANCE SHEETS AS AT 31 MARCH 2023

	<i>Notes</i>	<i>Group</i>		<i>HDB</i>	
		<i>31 March</i>	<i>31 March</i>	<i>31 March</i>	<i>31 March</i>
		<i>2023</i>	<i>2022</i>	<i>2023</i>	<i>2022</i>
		<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>
CAPITAL AND RESERVES					
Share capital	5	1	1	1	1
Capital account	5	2,468,093	2,468,093	2,463,593	2,463,593
Capital gains reserve	5	7,526,711	7,503,286	7,526,711	7,503,286
Asset revaluation reserve	5	5,203,014	5,237,117	5,203,014	5,237,117
Fair value reserve		3,585	4,111	0	0
Retained earnings		126,484	118,628	0	0
Attributable to equity holder of the HDB		15,327,888	15,331,236	15,193,319	15,203,997
Non-controlling interests		45,124	42,384	0	0
TOTAL EQUITY		15,373,012	15,373,620	15,193,319	15,203,997
ASSETS					
NON-CURRENT ASSETS					
Property, plant and equipment	6	29,483,803	27,677,283	29,471,634	27,663,388
Investment properties	7	803,328	829,272	802,037	822,905
Loans receivable	8	35,766,265	34,166,247	35,766,265	34,166,247
Right-of-use assets	9	18,930	29,173	7,706	11,741
Intangible assets	10	13,552	13,309	12,963	12,452
Investment in subsidiaries	11	0	0	1,500	1,500
Investment securities	12	16,057	16,757	0	0
		66,101,935	62,732,041	66,062,105	62,678,233
CURRENT ASSETS					
Properties under development	14	13,342,177	15,463,986	13,342,177	15,463,986
Properties for sale	15	1,590,181	784,703	1,590,181	784,703
Inventories of building materials		42,482	43,092	40,647	40,647
Loans receivable within one year	8	2,556,370	2,498,624	2,556,370	2,498,619
Government grant receivable	16	3,274,719	5,017,459	3,274,719	5,017,459
Trade and other receivables	17	1,780,077	1,647,493	1,737,039	1,590,964
Cash and bank balances	18	196,519	138,389	56,909	32,835
		22,782,525	25,593,746	22,598,042	25,429,213
TOTAL ASSETS		88,884,460	88,325,787	88,660,147	88,107,446

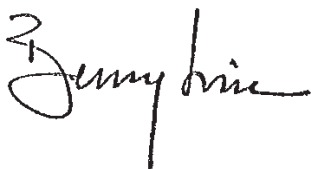
The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

HOUSING AND DEVELOPMENT BOARD AND ITS SUBSIDIARIES

BALANCE SHEETS AS AT 31 MARCH 2023 (continued)

		<i>Group</i>		<i>HDB</i>	
	<i>Notes</i>	<i>31 March 2023</i>	<i>31 March 2022</i>	<i>31 March 2023</i>	<i>31 March 2022</i>
		<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>
LIABILITIES					
CURRENT LIABILITIES					
Loans payable within one year	19	5,132,501	8,646,876	5,132,501	8,646,876
Trade and other payables	20	3,849,239	3,819,037	3,821,422	3,794,623
Lease liabilities due within one year	9	8,959	10,618	3,824	5,235
Amount due to subsidiary		0	0	370	209
Provision for income tax		2,680	3,972	0	0
		<u>8,993,379</u>	<u>12,480,503</u>	<u>8,958,117</u>	<u>12,446,943</u>
NET CURRENT ASSETS		<u>13,789,146</u>	<u>13,113,243</u>	<u>13,639,925</u>	<u>12,982,270</u>
NON-CURRENT LIABILITIES					
Loans payable	19	60,794,569	57,148,205	60,794,569	57,149,205
Lease liabilities	9	11,879	19,624	4,066	6,675
Deferred income	21	3,710,076	3,300,626	3,710,076	3,300,626
Deferred tax liabilities	13	1,545	3,209	0	0
		<u>64,518,069</u>	<u>60,471,664</u>	<u>64,508,711</u>	<u>60,456,506</u>
TOTAL LIABILITIES		<u>73,511,448</u>	<u>72,952,167</u>	<u>73,466,828</u>	<u>72,903,449</u>
NET ASSETS		<u>15,373,012</u>	<u>15,373,620</u>	<u>15,193,319</u>	<u>15,203,997</u>

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.



BENNY LIM SIANG HOE
Chairperson



NG SOOK YIN
Group Director (Finance)

HOUSING AND DEVELOPMENT BOARD AND ITS SUBSIDIARIES

INCOME AND EXPENDITURE STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 MARCH 2023

	<i>Notes</i>	<i>Group</i>						<i>HDB</i>					
		<i>2022/2023</i>			<i>2021/2022</i>			<i>2022/2023</i>			<i>2021/2022</i>		
		<i>Other</i>			<i>Other</i>			<i>Other</i>			<i>Other</i>		
		<i>Housing</i>	<i>Activities</i>	<i>Total</i>	<i>Housing</i>	<i>Activities</i>	<i>Total</i>	<i>Housing</i>	<i>Activities</i>	<i>Total</i>	<i>Housing</i>	<i>Activities</i>	<i>Total</i>
		<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>
Sale proceeds	28	6,183,923	1,040	6,184,963	4,794,743	35,471	4,830,214	6,183,923	1,040	6,184,963	4,794,743	35,471	4,830,214
Cost of sales before net increase in provision for foreseeable loss	24	(7,381,775)	(509)	(7,382,284)	(5,450,593)	(35,471)	(5,486,064)	(7,381,775)	(509)	(7,382,284)	(5,450,593)	(35,471)	(5,486,064)
Gross (loss)/profit on sales	28	(1,197,852)	531	(1,197,321)	(655,850)	0	(655,850)	(1,197,852)	531	(1,197,321)	(655,850)	0	(655,850)
Net increase in provision for foreseeable loss	24	(2,711,844)	0	(2,711,844)	(2,262,131)	0	(2,262,131)	(2,711,844)	0	(2,711,844)	(2,262,131)	0	(2,262,131)
Gross (loss)/profit after net increase in provision for foreseeable loss		(3,909,696)	531	(3,909,165)	(2,917,981)	0	(2,917,981)	(3,909,696)	531	(3,909,165)	(2,917,981)	0	(2,917,981)
Income	22	2,141,970	1,014,369	3,156,339	2,075,273	935,044	3,010,317	2,141,970	849,988	2,991,958	2,075,273	751,554	2,826,827
Finance expenses	23	(1,168,074)	(59,577)	(1,227,651)	(1,149,064)	(50,145)	(1,199,209)	(1,168,082)	(59,136)	(1,227,218)	(1,149,068)	(49,512)	(1,198,580)
Operating expenses	24, 25	(2,176,592)	(521,849)	(2,698,441)	(1,884,699)	(500,514)	(2,385,213)	(2,189,314)	(360,530)	(2,549,844)	(1,893,689)	(334,014)	(2,227,703)
Other expenses	24	(685,645)	0	(685,645)	(849,187)	0	(849,187)	(685,645)	0	(685,645)	(849,187)	0	(849,187)

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

HOUSING AND DEVELOPMENT BOARD AND ITS SUBSIDIARIES

INCOME AND EXPENDITURE STATEMENTS *(continued)* FOR THE FINANCIAL YEAR ENDED 31 MARCH 2023

	<i>Notes</i>	<i>Group</i>						<i>HDB</i>					
		<i>2022/2023</i>			<i>2021/2022</i>			<i>2022/2023</i>			<i>2021/2022</i>		
		<i>Other</i>			<i>Other</i>			<i>Other</i>			<i>Other</i>		
		<i>Housing</i>	<i>Activities</i>	<i>Total</i>	<i>Housing</i>	<i>Activities</i>	<i>Total</i>	<i>Housing</i>	<i>Activities</i>	<i>Total</i>	<i>Housing</i>	<i>Activities</i>	<i>Total</i>
		\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
NET (DEFICIT)/ SURPLUS BEFORE GOVERNMENT GRANT AND TAXATION	28	(5,798,037)	433,474	(5,364,563)	(4,725,658)	384,385	(4,341,273)	(5,810,767)	430,853	(5,379,914)	(4,734,652)	368,028	(4,366,624)
Government grant	16			5,388,808			4,400,543			5,388,808			4,400,543
NET SURPLUS BEFORE TAXATION AND TRANSFER TO RESERVES				24,245			59,270			8,894			33,919
Income tax expense	13			(2,458)			(2,182)			0			0
NET SURPLUS FOR THE YEAR BEFORE TRANSFER TO RESERVES				<u>21,787</u>			<u>57,088</u>			<u>8,894</u>			<u>33,919</u>

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

HOUSING AND DEVELOPMENT BOARD AND ITS SUBSIDIARIES

INCOME AND EXPENDITURE STATEMENTS *(continued)* FOR THE FINANCIAL YEAR ENDED 31 MARCH 2023

	<i>Notes</i>	<i>Group</i>						<i>HDB</i>					
		<i>2022/2023</i>			<i>2021/2022</i>			<i>2022/2023</i>			<i>2021/2022</i>		
		<i>Other</i>			<i>Other</i>			<i>Other</i>			<i>Other</i>		
		<i>Housing</i>	<i>Activities</i>	<i>Total</i>	<i>Housing</i>	<i>Activities</i>	<i>Total</i>	<i>Housing</i>	<i>Activities</i>	<i>Total</i>	<i>Housing</i>	<i>Activities</i>	<i>Total</i>
		\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
NET SURPLUS ATTRIBUTABLE TO:													
Equity holder of the HDB				16,750			49,007			8,894			33,919
Non-controlling interests				5,037			8,081			0			0
				<u>21,787</u>			<u>57,088</u>			<u>8,894</u>			<u>33,919</u>
AMOUNT ATTRIBUTABLE TO EQUITY HOLDER OF THE HDB:													
NET SURPLUS FOR THE YEAR BEFORE TRANSFER TO RESERVES				16,750			49,007			8,894			33,919
RETAINED EARNINGS AT THE BEGINNING OF THE YEAR				118,628			103,540			0			0
Release of asset revaluation reserve	5d			34,103			78,545			34,103			78,545
Transfer to capital gains reserve	5c			<u>(42,997)</u>			<u>(112,464)</u>			<u>(42,997)</u>			<u>(112,464)</u>
RETAINED EARNINGS AT THE END OF THE YEAR				<u>126,484</u>			<u>118,628</u>			<u>0</u>			<u>0</u>

Additional information of segments under “Housing” and “Other Activities” is provided in Note 28.

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

HOUSING AND DEVELOPMENT BOARD AND ITS SUBSIDIARIES

STATEMENTS OF COMPREHENSIVE INCOME FOR THE FINANCIAL YEAR ENDED 31 MARCH 2023

	<i>Group</i>		<i>HDB</i>	
	<i>2022/2023</i>	<i>2021/2022</i>	<i>2022/2023</i>	<i>2021/2022</i>
	\$'000	\$'000	\$'000	\$'000
NET SURPLUS FOR THE YEAR BEFORE TRANSFER TO RESERVES	21,787	57,088	8,894	33,919
OTHER COMPREHENSIVE INCOME				
<i>Items that will not be reclassified subsequently to the income and expenditure statements:</i>				
Net fair value (losses)/gains on equity instruments at FVOCI	(700)	445	0	0
Other comprehensive (expense)/ income for the year, net of tax	(700)	445	0	0
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	21,087	57,533	8,894	33,919
ATTRIBUTABLE TO:				
Equity holder of the HDB	16,224	49,340	8,894	33,919
Non-controlling interests	4,863	8,193	0	0
	21,087	57,533	8,894	33,919

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

HOUSING AND DEVELOPMENT BOARD AND ITS SUBSIDIARIES

STATEMENTS OF CHANGES IN CAPITAL AND RESERVES FOR THE FINANCIAL YEAR ENDED 31 MARCH 2023

	<i>Share Capital</i>	<i>Capital Account</i>	<i>Capital Gains Reserve</i>	<i>Asset Revaluation Reserve</i>	<i>Fair Value Reserve</i>	<i>Retained Earnings</i>	<i>Attributable to Equity Holder of the HDB</i>	<i>Non- Controlling Interests</i>	<i>Total Capital and Reserves</i>
	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
Group									
<i>Balance as at 1 April 2021</i>	1	2,468,093	7,439,967	5,315,662	3,778	103,540	15,331,041	37,210	15,368,251
Net surplus for the year before transfer to reserves	0	0	0	0	0	49,007	49,007	8,081	57,088
<i>Other comprehensive income</i>									
Net fair value gains on equity instruments at FVOCI	0	0	0	0	333	0	333	112	445
<i>Other comprehensive income for the year, net of tax</i>	0	0	0	0	333	0	333	112	445
<i>Total comprehensive income for the year</i>	0	0	0	0	333	49,007	49,340	8,193	57,533
Transfer from retained earnings to capital gains reserve (Note 5c)	0	0	112,464	0	0	(112,464)	0	0	0
Release of asset revaluation reserve on disposal of assets (Note 5d)	0	0	0	(78,545)	0	78,545	0	0	0
Return of reserves to the Government (Note 5c)	0	0	(49,145)	0	0	0	(49,145)	0	(49,145)
Non-controlling interests' share of dividend from subsidiary	0	0	0	0	0	0	0	(3,019)	(3,019)
BALANCE AS AT 31 MARCH 2022	1	2,468,093	7,503,286	5,237,117	4,111	118,628	15,331,236	42,384	15,373,620

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

HOUSING AND DEVELOPMENT BOARD AND ITS SUBSIDIARIES

STATEMENTS OF CHANGES IN CAPITAL AND RESERVES *(continued)* FOR THE FINANCIAL YEAR ENDED 31 MARCH 2023

	<i>Share Capital</i>	<i>Capital Account</i>	<i>Capital Gains Reserve</i>	<i>Asset Revaluation Reserve</i>	<i>Fair Value Reserve</i>	<i>Retained Earnings</i>	<i>Attributable to Equity Holder of the HDB</i>	<i>Non- Controlling Interests</i>	<i>Total Capital and Reserves</i>
	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
Group									
<i>Balance as at 1 April 2022</i>	1	2,468,093	7,503,286	5,237,117	4,111	118,628	15,331,236	42,384	15,373,620
Net surplus for the year before transfer to reserves	0	0	0	0	0	16,750	16,750	5,037	21,787
<i>Other comprehensive income</i>									
Net fair value (losses) on equity instruments at FVOCI	0	0	0	0	(526)	0	(526)	(174)	(700)
<i>Other comprehensive (expense) for the year, net of tax</i>	0	0	0	0	(526)	0	(526)	(174)	(700)
<i>Total comprehensive income/(expense) for the year</i>	0	0	0	0	(526)	16,750	16,224	4,863	21,087
Transfer from retained earnings to capital gains reserve (Note 5c)	0	0	42,997	0	0	(42,997)	0	0	0
Release of asset revaluation reserve on disposal of assets (Note 5d)	0	0	0	(34,103)	0	34,103	0	0	0
Return of reserves to the Government (Note 5c)	0	0	(19,572)	0	0	0	(19,572)	0	(19,572)
Non-controlling interests' share of dividend from subsidiary	0	0	0	0	0	0	0	(2,123)	(2,123)
BALANCE AS AT 31 MARCH 2023	1	2,468,093	7,526,711	5,203,014	3,585	126,484	15,327,888	45,124	15,373,012

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

HOUSING AND DEVELOPMENT BOARD AND ITS SUBSIDIARIES

STATEMENTS OF CHANGES IN CAPITAL AND RESERVES *(continued)* FOR THE FINANCIAL YEAR ENDED 31 MARCH 2023

	<i>Share Capital</i>	<i>Capital Account</i>	<i>Capital Gains Reserve</i>	<i>Asset Revaluation Reserve</i>	<i>Retained Earnings</i>	<i>Total Capital and Reserves</i>
	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
HDB						
<i>Balance as at 1 April 2021</i>	1	2,463,593	7,439,967	5,315,662	0	15,219,223
Net surplus for the year before transfer to reserves	0	0	0	0	33,919	33,919
<i>Total comprehensive income for the year</i>	0	0	0	0	33,919	33,919
Transfer from retained earnings to capital gains reserve (Note 5c)	0	0	112,464	0	(112,464)	0
Release of asset revaluation reserve on disposal of assets (Note 5d)	0	0	0	(78,545)	78,545	0
Return of reserves to the Government (Note 5c)	0	0	(49,145)	0	0	(49,145)
BALANCE AS AT 31 MARCH 2022	1	2,463,593	7,503,286	5,237,117	0	15,203,997

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

HOUSING AND DEVELOPMENT BOARD AND ITS SUBSIDIARIES

STATEMENTS OF CHANGES IN CAPITAL AND RESERVES *(continued)* FOR THE FINANCIAL YEAR ENDED 31 MARCH 2023

	<i>Share Capital</i>	<i>Capital Account</i>	<i>Capital Gains Reserve</i>	<i>Asset Revaluation Reserve</i>	<i>Retained Earnings</i>	<i>Total Capital and Reserves</i>
	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
HDB						
<i>Balance as at 1 April 2022</i>	1	2,463,593	7,503,286	5,237,117	0	15,203,997
Net surplus for the year before transfer to reserves	0	0	0	0	8,894	8,894
<i>Total comprehensive income for the year</i>	0	0	0	0	8,894	8,894
Transfer from retained earnings to capital gains reserve (Note 5c)	0	0	42,997	0	(42,997)	0
Release of asset revaluation reserve on disposal of assets (Note 5d)	0	0	0	(34,103)	34,103	0
Return of reserves to the Government (Note 5c)	0	0	(19,572)	0	0	(19,572)
BALANCE AS AT 31 MARCH 2023	1	2,463,593	7,526,711	5,203,014	0	15,193,319

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

HOUSING AND DEVELOPMENT BOARD AND ITS SUBSIDIARIES

CONSOLIDATED STATEMENT OF CASH FLOWS FOR THE FINANCIAL YEAR ENDED 31 MARCH 2023

	<u>Note</u>	<u>2022/2023</u> \$'000	<u>2021/2022</u> \$'000
OPERATING ACTIVITIES			
Net deficit before government grant and taxation		(5,364,563)	(4,341,273)
Adjustments for:			
Interest income	22	(969,159)	(974,712)
Interest expense	23	1,216,587	1,190,656
Depreciation and amortisation	24	529,415	498,399
CPF Housing Grant net off against sale proceeds on sale of the flat	28	344,002	253,461
Provision for foreseeable loss for properties under development/for sale	24	4,021,654	2,923,295
Gain on disposal/write-off of assets (net)		(359)	(17,348)
Reversal of impairment losses on property, plant and equipment and investment properties (net)	24	(399)	(190)
Allowance for impairment losses and amount written off on loans receivable and debtors	24	6,771	5,371
Amortisation of deferred income		(230,426)	(220,825)
Amortisation of transaction cost of bonds	23	11,064	8,553
Gain on derecognition of right-of-use assets	9	0	(583)
Investment income	22	(764)	(702)
Deficit before movement in working capital		(436,177)	(675,898)
Change in working capital:			
Properties under development		(9,796,747)	(7,525,960)
Properties for sale		7,296,102	5,354,536
Inventories of building materials		610	170
Trade and other receivables		(482,823)	(362,113)
Trade and other payables		22,433	(89,148)
Late payment charges on loans receivable		(8,726)	1,068
		(2,969,151)	(2,621,447)
Mortgage loan repayments and interest received		5,904,302	7,593,702
Mortgage loans granted		(6,586,801)	(5,283,013)
Interest paid on mortgage financing loans		(904,047)	(957,101)
Income tax paid		(5,414)	(3,639)
Deferred income received	21	656,081	517,169
Net cash used in operating activities		(4,341,207)	(1,430,227)

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

HOUSING AND DEVELOPMENT BOARD AND ITS SUBSIDIARIES

CONSOLIDATED STATEMENT OF CASH FLOWS *(continued)* FOR THE FINANCIAL YEAR ENDED 31 MARCH 2023

	<u>Note</u>	<u>2022/2023</u> \$'000	<u>2021/2022</u> \$'000
INVESTING ACTIVITIES			
Proceeds from disposal of property, plant and equipment, and investment properties		16,167	34,945
Purchase of property, plant and equipment, and investment properties		(2,148,199)	(1,543,742)
Acquisition/development costs of intangible assets	10	(3,925)	(13,302)
Interest received		2,087	75
Dividends received from other investments	22	764	702
Purchase of investments		0	(56)
Net cash used in investing activities		(2,133,106)	(1,521,378)
FINANCING ACTIVITIES			
Proceeds from loans payable		56,918,084	54,341,301
Repayment of loans payable		(56,850,012)	(53,883,400)
Interest paid		(646,072)	(560,769)
Government grant received	16	7,131,548	3,132,175
Dividends paid to non-controlling shareholders		(2,123)	(3,019)
Payment of principal portion of lease liabilities	9	(10,546)	(11,342)
Net cash provided by financing activities		6,540,879	3,014,946
Net increase in cash and cash equivalents		66,566	63,341
Cash and cash equivalents at the beginning of year		126,149	62,808
CASH AND CASH EQUIVALENTS AT THE END OF YEAR	18	192,715	126,149
<u>Reconciliation of liabilities arising from financing activities</u>			
Group			
Total loans payable as at 1 April	19	65,795,081	65,338,707
Increase/(decrease) through financing cash flows:			
Proceeds from loans payable		56,918,084	54,341,301
Repayment of loans payable		(56,850,012)	(53,883,400)
Net increase through financing cash flows		68,072	457,901
Increase/(decrease) through non-cash changes:			
Amortisation of transaction cost of bonds	23	11,064	8,553
Net increase/(decrease) in interest payable	19	52,853	(10,080)
Net increase/(decrease) through non-cash changes		63,917	(1,527)
Total loans payable as at 31 March	19	65,927,070	65,795,081

The accompanying accounting policies and explanatory notes form an integral part of the financial statements.

HOUSING AND DEVELOPMENT BOARD AND ITS SUBSIDIARIES

NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 MARCH 2023

1. GENERAL INFORMATION

The Housing and Development Board (“HDB”) is a statutory board incorporated under the Housing and Development Act 1959 (“H&D Act”) under the purview of the Ministry of National Development (“MND”). As a statutory board, the HDB is subject to the directions of the MND and is required to implement policies and comply with instructions from its supervisory Ministry and other Government Ministries and Departments such as the Ministry of Finance (“MOF”). The HDB is also subject to the provisions of the Public Sector (Governance) Act 2018 (“PSG Act”).

The address of the HDB is HDB Hub 480, Lorong 6 Toa Payoh, Singapore 310480.

The principal activities of the HDB consist of the sale and rental of residential flats, the upgrading and redevelopment of older estates, and the provision of mortgage loans to eligible purchasers of flats under the public housing schemes. In addition, the HDB develops and manages ancillary facilities such as commercial properties, car parks, and other amenities in the housing estates.

The principal activities of the subsidiaries are detailed in Note 11 to the financial statements.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

2.1 *Basis of preparation*

The consolidated financial statements of the Group have been prepared in accordance with the historical cost basis, except as disclosed in accounting policies below, and are drawn up in accordance with the provisions of the H&D Act, the PSG Act, and Singapore Statutory Board Financial Reporting Standards (“SB-FRS”) including related interpretations (“INT SB-FRS”) and Guidance Notes.

The financial statements are presented in Singapore dollar, which is the HDB’s functional currency, and rounded to the nearest thousand (\$’000), unless otherwise stated.

2.2 *New accounting standards effective 1 April 2022*

The accounting policies adopted are consistent with those previously applied under SB-FRSs except that in the current financial year, the Group has adopted all the SB-FRSs which are effective for annual financial periods beginning on or after 1 April 2022. The adoption of these standards did not have any material effect on the financial performance or position of the Group and the HDB.

2.3 *New or revised accounting standards and interpretations*

Below are the mandatory standards, amendments and interpretation to existing standards that have been published, and are relevant for the Group’s accounting periods beginning on or after 1 April 2023 and which the Group has not early adopted:

- Amendments to SB-FRS 1: Classification of Liabilities as Current or Non-current
- Amendments to SB-FRS 8: Definition of Accounting Estimates
- Amendments to SB-FRS 1 and SB-FRS Practice Statement 2: Disclosure of Accounting Policies
- SB-FRS 1002: Impairment of Non-Cash-Generating Assets
- Amendments to SB-FRS 110 and SB-FRS 28: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture

Management has considered and is of the view that the adoption of the new or revised accounting standards and interpretations will have no material impact on the financial statements in the period of their initial adoption.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

2.4 *Basis of consolidation*

The consolidated financial statements comprise the financial statements of the HDB and its subsidiaries as at the end of the reporting period. The financial statements of the subsidiaries used in the preparation of the consolidated financial statements are prepared for the same reporting date as the HDB. Consistent accounting policies are applied to like transactions and events in similar circumstances.

All significant intra-group transactions, balances, unrealised income and expenses on transactions between group entities are eliminated on consolidation.

Subsidiaries are fully consolidated from the date on which control is transferred to the Group, and continues to be consolidated until the date that such control ceases.

Losses within a subsidiary are attributed to the non-controlling interests even if that results in a deficit balance.

2.5 *Transactions with non-controlling interests*

Non-controlling interests are that part of the net results of operations and of net assets of a subsidiary attributable to the interests which are not owned directly or indirectly by the equity holder of the HDB. They are shown separately in the consolidated income and expenditure statement, statement of comprehensive income, statement of changes in capital and reserves, and balance sheet.

2.6 *Subsidiaries*

Subsidiaries are all entities over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

In the HDB's balance sheet, investments in subsidiaries are carried at cost less any impairment in net recoverable value that has been recognised in the income and expenditure statement.

2.7 *Financial instruments*

(a) *Financial assets*

Initial recognition and measurement

Financial assets are recognised when, and only when the Group becomes a party to the contractual provisions of the financial instruments.

Except for trade receivables, at initial recognition the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in the income and expenditure statement.

Trade receivables are measured at the amount of consideration to which the Group expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third party, as the trade receivables do not contain a significant financing component at initial recognition.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

2.7 *Financial instruments (continued)*

(a) *Financial assets (continued)*

Subsequent measurement

The Group classifies its financial assets into the following measurement categories:

- (i) Amortised cost; and
- (ii) Fair value through other comprehensive income ("FVOCI")

Debt instruments

Subsequent measurement of debt instruments depends on the Group's business model for managing the asset and the contractual cash flow characteristics of the asset. The subsequent measurement of the financial assets depends on their classification.

(i) Amortised cost

Financial assets that are held for the collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Financial assets are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in the income and expenditure statement when the assets are de-recognised or impaired, and through amortisation process.

(ii) FVOCI

Financial assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI. Financial assets measured at FVOCI are subsequently measured at fair value. Any gains or losses from changes in fair value of the financial assets are recognised in other comprehensive income, except for impairment losses, foreign exchange gains and losses and interest calculated using the effective interest method are recognised in the income and expenditure statement. The cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to the income and expenditure statement as a reclassification adjustment when the financial asset is de-recognised.

Equity instruments

The Group subsequently measures all its investments in equity instruments at their fair values. As the Group's investments in equity instruments are not held for trading, the Group has irrevocably elected to present subsequent changes in fair value in other comprehensive income. Dividends from such investments are to be recognised in the income and expenditure statement when the Group's right to receive payments is established.

De-recognition

A financial asset is de-recognised where the contractual right to receive cash flows from the asset has expired.

On de-recognition of a debt instrument, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income is recognised in the income and expenditure statement.

On de-recognition of an equity instrument, any difference between the carrying amount and the sum of the consideration received would be recognised in other comprehensive income and transferred to retained earnings along with the amount previously recognised in other comprehensive income relating to that asset.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

2.7 *Financial instruments (continued)*

(b) *Financial liabilities*

Initial recognition and measurement

Financial liabilities are recognised when, and only when the Group becomes a party to the contractual provisions of the financial instruments. The Group determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at fair value through profit or loss, directly attributable transaction costs.

The housing development loans, mortgage financing loans and upgrading financing loans are borrowed from the Singapore Government under the Agreements for Loan Facility.

The mortgage financing loans and upgrading financing loans are obtained to finance the mortgage loans granted to lessees for purchase of flats under public housing schemes and the deferred payment scheme granted to lessees of upgraded flats. The housing development loans, bonds and bank loans are to finance the HDB's development programmes and operational requirements. The MOF will act as a lender of last resort to the HDB for its funding requirements. The MOF has funded the HDB's past deficits. The provision of any loan or funding (including the quantum) are at the absolute discretion of the Minister for Finance and the Government of Singapore, which do not guarantee the direct or indirect payment of any debt obligations of the HDB.

These loans payable are initially recognised at fair value, net of transaction costs, and are subsequently measured at amortised cost using the effective interest method. Any difference between the proceeds (net of significant transaction costs) and the settlement or redemption of borrowings is recognised over the term of the borrowings in accordance with the Group's accounting policy for borrowing costs (Note 2.21).

Subsequent measurement

After initial recognition, financial liabilities not carried at fair value through profit or loss are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in the income and expenditure statement when the liabilities are de-recognised, and through the amortisation process.

De-recognition

A financial liability is de-recognised when the obligation under the liability is discharged or cancelled or expired. On de-recognition, the difference between the carrying amounts and the consideration paid is recognised in the income and expenditure statement.

(c) *Offsetting of financial instruments*

Financial assets and liabilities are offset and the net amount reported in the balance sheet when there is a legally enforceable right to offset and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously. Further details can be found in Note 4(b) to the financial statements.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

2.8 *Impairment of financial assets*

The Group recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at fair value through profit or loss. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Group expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is recognised for credit losses expected over the remaining life of the exposure, irrespective of timing of the default (a lifetime ECL).

For trade and other receivables, the Group applies a simplified approach in calculating ECLs. Therefore, the Group does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date.

For debt instruments at FVOCI, the Group applies the low credit risk simplification. At every reporting date, the Group evaluates whether the debt instrument is considered to have low credit risk using all reasonable and supportable information that is available without undue cost or effort. In making that evaluation, the Group reassesses the internal credit rating of the debt instrument.

The Group considers a financial asset to be in default when internal or external information indicates that the Group is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Group. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

2.9 *Leases*

The Group assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

(a) *Group as a lessor*

Leases in which the Group does not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising is accounted for on a straight-line basis over the lease term.

In classifying a sublease, the Group as an intermediate lessor classifies the sublease as a finance or an operating lease with reference to the right-of-use asset arising from the head lease, rather than the underlying asset.

When the sublease is assessed as a finance lease, the Group derecognises the right-of-use asset relating to the head lease that it transfers to the sublessee and recognises the net investment in the sublease as a receivable. Any differences between the right-of-use asset derecognised and the net investment in the sublease is recognised in the income and expenditure statement. The lease liability relating to the head lease is retained in the balance sheet, which represents the lease payments owed to the head lessor. When the sublease is assessed as an operating lease, the Group recognises rental income from the sublease. The right-of-use asset relating to the head lease is not derecognised.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

2.9 *Leases (continued)*

(b) *Group as a lessee*

The Group applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Group recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

Right-of-use assets

The Group recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any re-measurement of lease liabilities. The cost of right-of-use assets is measured at the amount of lease liabilities recognised, and depreciated on a straight-line basis over the lease term. The right-of-use assets are also subject to impairment. The accounting policy for impairment is disclosed in Note 2.12.

Lease liabilities

At the commencement date of the lease, the Group recognises lease liabilities measured at the present value of lease payments to be made over the lease term. In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is re-measured if there is a modification, a change in the lease term, a change in the lease payments or a change in the assessment of an option to purchase the underlying asset.

Short-term leases and leases of low-value assets

The Group applies the short-term lease recognition exemption to its short-term leases of equipment (i.e., those leases that have a lease term of 12 months or less from the commencement date). It also applies the lease of low-value assets recognition exemption to leases of equipment that are considered to be low value. Lease payments on short-term leases and leases of low-value assets are recognised as expense on a straight-line basis over the lease term.

2.10 *Property, plant and equipment*

All land and buildings owned by the HDB on 1 April 1985 were valued at that date for the purpose of creating asset accounts arising from a change in accounting policy. A second valuation was conducted for commercial and industrial properties on 31 March 1986. Additional information on the valuation of properties is made in Note 5(d). The valuation of these properties was taken as the deemed cost of these properties and subsequently carried at deemed cost less accumulated depreciation and any accumulated impairment losses.

Property, plant and equipment acquired or constructed after 1 April 1985 are initially carried at cost and subsequently carried at cost less accumulated depreciation and any accumulated impairment losses.

When a building comprises major components having different useful lives, they are accounted for as separate items of property, plant and equipment.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

2.10 *Property, plant and equipment (continued)*

Depreciation is calculated using the straight-line method to allocate their depreciable amounts over their estimated useful lives as follows:

	<u>Years</u>
<u>Land and Buildings</u>	
Leasehold land	Over the lease period up to 99 years
Buildings	Over the lease period up to 60 years
Leasehold properties	30 years
<u>Others</u>	
Plant and machinery	3 to 10 years
Office equipment	3 to 10 years
Furniture, fittings, and fixtures	5 to 10 years
Motor vehicles	6 years

Fully depreciated assets still in use are retained in the financial statements.

No depreciation is charged on freehold land, leasehold land of 999 years, and artworks.

Assets under development (which are classified as property, plant and equipment) are carried at cost, less any recognised impairment losses. Depreciation of these assets, on the same basis as other assets, commences when the assets are ready for their intended use.

The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

Property, plant and equipment costing less than \$2,000 each are charged to the income and expenditure statement in the year of purchase.

The gain or loss arising on disposal or retirement of an item of property, plant and equipment is determined as the difference between the sales proceeds and the carrying amounts of the asset and is recognised in the income and expenditure statement.

Subsequent expenditure relating to property, plant and equipment that has already been recognised is added to the carrying amount of the asset only when it is probable that future economic benefits associated with the item will flow to the entity and the cost of the item can be measured reliably. All other repair and maintenance expenses are recognised in the income and expenditure statement when incurred.

2.11 *Investment properties*

Investment properties, comprising commercial complexes and land, are held to earn rentals. Investment properties include assets under development that are being constructed or developed for future use as investment properties.

Investment properties are initially recognised at cost and subsequently carried at cost less accumulated depreciation and any impairment losses. When a building comprises major components having different useful lives, each significant component is depreciated separately. Depreciation is determined on a straight-line basis over the estimated useful lives. The useful lives are stated in Note 2.10.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

2.11 *Investment properties (continued)*

Assets under development are initially recognised at cost and subsequently carried at cost less any impairment losses. Depreciation of these assets, on the same basis as other assets, commences when the assets are ready for their intended use.

The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

The gain or loss arising on disposal or retirement of an item of investment properties is determined as the difference between the sales proceeds and the carrying amounts of the asset and is recognised in the income and expenditure statement.

The cost of major improvements is capitalised and the carrying amounts of the replaced components are recognised in the income and expenditure statement. The cost of maintenance, repairs and minor improvements is recognised in the income and expenditure statement when incurred.

2.12 *Impairment of non-financial assets*

At the end of the reporting period, property, plant and equipment, investment properties, investment in subsidiaries, right-of-use assets, and intangible assets are reviewed for events or changes in circumstances that may indicate that these assets are impaired.

Cash-generating assets are assets held with the primary objective of generating a commercial return. Non-cash-generating assets are assets other than cash-generating assets.

For cash-generating assets, if any such indication exists, the recoverable amount (i.e. the higher of the fair value less cost to sell and the value in use) of the asset is estimated to determine the amount of impairment loss. The recoverable amount is determined in-house using the comparable sales method or the income approach based on contractual or market rents, on an individual asset basis. If the asset generates cash inflows that are largely independent of those from other assets, the recoverable amount is determined for the Cash Generating Unit (CGU) to which the asset belongs.

For non-cash-generating assets, if there is any indication of impairment, the recoverable service amount (i.e. the higher of the fair value less cost to sell and the value in use) of the asset, is estimated to determine the amount of impairment loss.

Whenever the carrying amount of an asset exceeds its recoverable amount, an impairment loss is recognised as operating expenses in the income and expenditure statement unless it reverses a previous revaluation credited to asset revaluation reserve for that asset, in which case the impairment loss is charged to asset revaluation reserve.

An impairment loss for an asset is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. The carrying amount of this asset is increased to its revised recoverable amount, provided that this amount does not exceed the carrying amount that would have been determined (net of any accumulated amortisation or depreciation) had no impairment loss been recognised for the asset in prior years.

A reversal of impairment loss for an asset is recognised in the income and expenditure statement, unless the asset is carried at revalued amount, in which case, such reversal is treated as a revaluation increase. However, to the extent that an impairment loss on the same revalued asset was previously recognised as an expense, a reversal of that impairment is also recognised in the income and expenditure statement.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

2.13 *Intangible assets*

Intangible assets acquired or developed by external vendors for the Group, which comprise software licences, are measured on initial recognition at cost. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses.

Intangible assets with finite lives are amortised over the useful economic life and assessed for impairment whenever there is an indication that the intangible asset may be impaired. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortisation period or method, as appropriate, and are treated as changes in accounting estimates. The effects of any revision are recognised in the income and expenditure statement when the changes arise.

An intangible asset is derecognised upon disposal (i.e., at the date the recipient obtains control) or when no future economic benefits are expected from its use or disposal. Any gain or loss arising upon derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in the income and expenditure statement.

Acquired computer software licences are initially capitalised at cost which includes the purchase prices (net of any discounts and rebates) and other directly attributable costs of preparing the asset for its intended use. Direct expenditures including manpower costs, which enhance or extend the performance of software beyond its specifications and which can be reliably measured, are added to the original cost of the software. Costs associated with maintaining the computer software are expensed off when incurred.

Computer software licences are subsequently carried at cost less accumulated amortisation and accumulated impairment losses. These costs are amortised to the income and expenditure statement using the straight-line method over their estimated useful lives of 3 to 8 years.

The amortisation period and amortisation method are reviewed at least at each balance sheet date. The effects of any revision are recognised in the income and expenditure statement when the changes arise.

2.14 *Properties under development*

Properties under development include properties for sale under development and cost of upgrading sold properties.

The cost of properties under development includes acquisition costs, borrowing costs and other related development expenditure. Finance expenses are capitalised until the completion of development.

Properties under development are stated at the lower of cost and net realisable value. The net realisable value is the estimated selling price in the ordinary course of business.

Development of flats for sale is expected to incur a loss on sale. Provision for foreseeable loss is determined as the difference between estimated development costs and net realisable value, and charged to the income and expenditure statement when this difference can be determined reliably. The net realisable value is the estimated selling price (net of CPF Housing Grant (Note 2.25)) in the ordinary course of business. When the development of flats is completed and the flats are transferred to the properties for sale, the corresponding provision is transferred and released when the flat is sold.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

2.15 *Properties for sale*

Properties for sale are stated at the lower of cost and net realisable value. Selling price and cost are on specific identification. The net realisable value is the estimated selling price (net of CPF Housing Grant (Note 2.25)) in the ordinary course of business.

Foreseeable loss for flats developed or acquired is provided for the difference between the cost and net realisable value, and charged to the income and expenditure statement. The provision for foreseeable loss is released on sale of the flat.

2.16 *Inventories of building materials*

Inventories of building materials are stated at the lower of cost and net realisable value. Cost is calculated using the weighted average method. Net realisable value represents the estimated selling price in the ordinary course of business.

2.17 *Cash and cash equivalents*

Cash and bank balances comprise cash at banks and bank deposits. Cash at banks managed by the Board on behalf of trust funds is excluded from cash and bank balances in the statement of cash flows.

2.18 *Government grant*

The HDB's deficit is fully covered by government grant. In addition, a grant is given to the HDB so that the reserves of past governments are protected in accordance with the Constitution of the Republic of Singapore.

The government grant is recognised as income when conditions are met. The government grant is received in advance, except for the grant to finance the provision for foreseeable loss on properties under development/for sale and impairment allowance of loans receivable. The amount to finance the foreseeable loss provision and impairment allowance is received when the loss is realised.

The cumulative grants received from the Government since the establishment of the HDB are disclosed in Note 26 to the financial statements.

2.19 *Provisions*

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that the Group will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, the receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

2.20 *Revenue recognition*

Revenue is measured based on the consideration to which the Group expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Revenue is recognised when the Group satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied performance obligation.

(a) *Sale proceeds*

Proceeds (net of CPF Housing Grant (Note 2.25)) from sale of flats, proceeds from sale of other properties and building materials are recognised as income when the customer obtains control of the asset, upon transfer of the ownership of the goods to the customer.

(b) *Interest income*

Interest income is earned mainly from mortgage loans granted to purchasers of flats under public housing schemes and deferred payment scheme granted to lessees of upgraded flats. It is accrued on a time proportion basis, with reference to the principal outstanding and at the effective interest rate applicable.

(c) *Rental and related income*

Rental and related income from operating leases of rental properties are recognised in accordance with the accounting policy in Note 2.9 to the financial statements.

(d) *Car park income*

Season parking fees, and short-term parking fees, are recognised on a time proportion basis. Parking coupon income is recognised upon the sale of coupons. Car park income is from car parks in the HDB housing estates and in commercial complexes.

(e) *Recoveries*

Recoveries from the lessees and Town Councils for their share of the upgrading cost are recognised as income upon completion of the upgrading works, which is when the performance obligation is satisfied.

(f) *Agency and consultancy fees*

Agency fees from agency projects and consultancy fees are recognised as income over time, based on the progress of work performed.

(g) *Dividend income*

Dividend income is recognised when the shareholder's right to receive payment is established.

2.21 *Finance expenses*

(a) *Housing development loans, bank loans and bonds*

The HDB's development programmes and operational requirements are financed by housing development loans from the Government, bank loans and bonds issued (Note 2.7(b)). Finance expenses, comprising interest incurred on the loans and bonds, are accrued based on the effective interest rates and recognised in the income and expenditure statement, except to the extent that they are capitalised based on an average capitalisation rate during the period of time that is required to complete and prepare the asset for its intended use.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

2.21 *Finance expenses (continued)*

(b) *Mortgage and upgrading financing loans*

The HDB provides financing schemes to purchasers of flats under public housing schemes and lessees of upgraded flats. The schemes are financed by mortgage and upgrading financing loans from the Government. Interest expenses are charged to the income and expenditure statement in the period in which they are incurred.

2.22 *Employee benefits*

(a) *Defined contribution plans: Singapore Central Provident Fund (CPF) contributions*

Contributions on the Group's employees' salaries are made to the CPF as required by law. The CPF contributions are recognised in the income and expenditure statement in the period when the employees rendered their services entitling them to the contributions. The Group has no further payment obligations once the contributions have been paid.

(b) *Employee leave entitlement*

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave as a result of services rendered by employees up to the end of the reporting period.

2.23 *Contingencies*

A contingent liability is:

- (a) a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence of one or more uncertain future events not wholly within the control of the Group; or
- (b) a present obligation that arises from past events but is not recognised because:
 - (i) it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - (ii) the amount of the obligation cannot be measured with sufficient reliability.

Contingent liabilities are not recognised on the balance sheet of the Group.

2.24 *Income tax*

The HDB is exempt from tax under Section 13(1)(e) of the Income Tax Act 1947.

The Group's income tax expense represents the sum of the current income tax and deferred tax of the subsidiaries of the HDB.

Current income tax is recognised at the amount expected to be paid to or recovered from the tax authorities, using the tax rates and tax laws that have been enacted or substantively enacted by the balance sheet date.

Deferred income tax is recognised for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements except when the deferred income tax arises from an asset or liability in a transaction that is not a business combination and affects neither accounting nor taxable income or expenditure at the time of the transaction.

A deferred income tax asset is recognised to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilised.

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (*continued*)

2.24 *Income tax (continued)*

Deferred income tax is measured:

- (i) at the tax rates that are expected to apply when the related deferred income tax asset is realised or the deferred income tax liability is settled, based on tax rates and tax laws that have been enacted or substantively enacted by the balance sheet date; and
- (ii) based on the tax consequence that will follow from the manner in which the Group expects, at the balance sheet date, to recover or settle the carrying amounts of its assets and liabilities.

Current and deferred tax are recognised as an expense or income in the income and expenditure statement, except when it relates to transactions which are recognised directly in equity.

2.25 *CPF housing grant*

Under the CPF Housing Grant scheme, grants are disbursed to eligible households for purchase of flats in accordance with the approved housing policy.

The CPF Housing Grant and Selective En Bloc Redevelopment Scheme Grant (Note 2.20(a)) are disbursed to eligible households for the purchase of flats from the HDB. These grants are recognised as trade and other receivables on disbursement, and net off from the sale proceeds on sale of the flat.

The CPF Housing Grant is also disbursed to eligible households which purchase flats/executive condominiums from the resale market/private developers, or buyers who subsequently become eligible for the Citizen Top-Up Grant. The grants disbursed are recognised as expenses and reported as other expenses in the income and expenditure statement.

3. CRITICAL ACCOUNTING ESTIMATES, ASSUMPTIONS AND JUDGEMENTS

In the application of the Group's accounting policies, which are described in Note 2, management is required to make judgements, estimates and assumptions about the carrying amounts of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected.

Management is of the opinion that there are no critical judgements involved that have a significant effect on the amounts recognised in the financial statements apart from those involving estimates, which are dealt with below.

(a) *Estimation for allowance for impairment losses for loans receivable*

In the estimation of impairment losses for loans receivable, the Group considers the average resale price of flats in the same location and of similar flat type, the duration of the loan in arrears, the probability of default and the total outstanding loans receivable, taking into account current market and economic circumstances.

Management is of the opinion that adequate impairment losses, as disclosed in Note 8 to the financial statements, have been made.

The carrying amount of the Group's loans receivable is disclosed in Note 8 to the financial statements.

3. CRITICAL ACCOUNTING ESTIMATES, ASSUMPTIONS AND JUDGEMENTS (*continued*)

(b) *Estimation for impairment losses or reversals of impairment losses for property, plant and equipment, and investment properties*

At the end of each reporting period, management assesses whether there is any indication that property, plant and equipment and investment properties have suffered an impairment loss or require a reversal of previous impairment losses.

In the assessment of the impairment loss, the Group estimates the fair value less cost to sell of the properties or estimated future cash flows, with an appropriate discount rate to calculate the present value of the cash flows.

Management is of the opinion that adequate impairment losses, as disclosed in Notes 6 and 7 to the financial statements, have been made.

The carrying amounts of the Group's property, plant and equipment, and investment properties are disclosed in Notes 6 and 7 to the financial statements respectively.

(c) *Foreseeable losses relating to properties under development*

The estimated selling price (net of CPF Housing Grant (Note 2.25)) of the flat's location, design, and the estimated contract cost of the project are used to determine the foreseeable loss relating to properties under development.

The carrying amount of properties under development is disclosed in Note 14 to the financial statements.

4. FINANCIAL RISKS AND MANAGEMENT

The Group's activities expose it to a variety of risks as follows:

(a) *Categories of financial instruments*

The following table sets out the financial instruments as at the end of the reporting period:

	<u>Group</u>		<u>HDB</u>	
	<u>31 March 2023</u>	<u>31 March 2022</u>	<u>31 March 2023</u>	<u>31 March 2022</u>
	\$'000	\$'000	\$'000	\$'000
<i>Financial assets</i>				
Loans and receivables (including cash and bank balances) ⁽¹⁾	43,555,881	43,443,914	43,382,920	43,298,834
Investment securities	16,057	16,757	0	0
<i>Financial liabilities (at amortised cost)</i>				
Loans payable	65,927,070	65,795,081	65,927,070	65,796,081
Lease liabilities	20,838	30,242	7,890	11,910
Payables (including amount due to subsidiary) ⁽²⁾	1,795,183	1,846,300	1,785,815	1,836,519

⁽¹⁾ Excludes prepayments and deferred costs.

⁽²⁾ Excludes down payment deposits and advances, deferred income, and provisions.

4. FINANCIAL RISKS AND MANAGEMENT (*continued*)(b) *Financial instruments subject to enforceable contractual netting arrangements*

Financial assets and liabilities subject to offsetting, enforceable contractual netting arrangements and similar agreements

	<i>Group and HDB</i>	
	<i>31 March 2023</i>	<i>31 March 2022</i>
	<i>\$'000</i>	<i>\$'000</i>
<i>Financial assets</i>		
<i><u>Trade receivables</u></i>		
Gross amounts of recognised financial assets	17,866	18,485
<i>Less:</i>		
Gross amounts of recognised liabilities set off in the balance sheets	(17,545)	(17,507)
Net amounts of assets presented in the balance sheets	321	978
<i>Financial liabilities</i>		
<i><u>Trade payables</u></i>		
Gross amounts of recognised financial liabilities	508,778	536,310
<i>Less:</i>		
Gross amounts of recognised assets set off in the balance sheets	(17,545)	(17,507)
Net amounts of liabilities presented in the balance sheets	491,233	518,803

(c) *Credit risk*

The Group's loans receivable comprise largely mortgage loans to purchasers of flats under the public housing schemes. Policies on loan quantum and credit assessment are in place for the granting of mortgage loans to flat buyers and the flats are held as collateral. In providing for the expected credit losses, the HDB considers the experience of loans with similar attributes. An allowance for impairment is made in respect of overdue loans receivable from flats buyers where the collateral held is insufficient to discharge the total loans receivable using the expected credit loss model (Note 2.8). The allowance represents the aggregate amount by which management considers it necessary to write down its loans receivable in order to state it in the balance sheet at its estimated recoverable value.

Although the Group's credit exposure is concentrated mainly in Singapore, it has no significant concentration of credit risk with any single loan recipient or group of loan recipients.

The carrying amount of financial assets recorded in the financial statements, grossed up for any allowances for losses, represents the Group's maximum exposure to credit risk without taking into account the value of any collateral obtained.

Further details of credit risks on loans receivable and trade and other receivables are disclosed in Notes 8 and 17 to the financial statements respectively.

4. FINANCIAL RISKS AND MANAGEMENT (*continued*)(d) *Market risk*(i) *Interest rate risk*

The Group's exposure to market risk for changes in interest rate relates primarily to the mortgage and upgrading financing loans payable and loans receivable both of which are pegged to the CPF rates. The Group manages its interest rate exposure by largely matching the terms of the mortgage and upgrading financing loans payable with those of the loans receivable. The Group also borrows housing development loans from the Government for its development programmes and operational requirements. The housing development loans are based on a variable interest rate.

In addition to government loans, the Group also accesses the capital market and financial institutions for its funding requirements as and when required. The bank loans are unsecured, borrowed at fixed interest rates and short-term in nature. Information relating to the Group's interest rate exposure is disclosed in the respective notes to the financial statements.

(ii) *Foreign currency exchange risk*

The Group has limited exposure to foreign currency exchange risk as its operations are substantially transacted in Singapore dollars.

All financial assets and liabilities reported on the balance sheets are denominated in Singapore dollars.

(iii) *Equity price risk*

The Group is not exposed to significant equity risks arising from equity investments, which are held for strategic rather than trading purposes. The Group does not actively trade equity investments. Any reasonably possible changes in prices of equity investments are not expected to have a significant impact on the Group's capital and reserves.

Further details of these equity investments can be found in Note 12 to the financial statements.

(e) *Liquidity risk*

The Group monitors and maintains a level of cash and cash equivalents deemed adequate to finance its operations. Funding is also made available through an adequate amount of committed credit facilities. The MOF will act as a lender of last resort to the HDB for its funding requirements. The MOF has funded the HDB's past deficits. The provision of any loan or funding (including the quantum) are at the absolute discretion of the Minister for Finance and the Government of Singapore, which do not guarantee the direct or indirect payment of any debt obligations of the HDB.

4. FINANCIAL RISKS AND MANAGEMENT (*continued*)(e) *Liquidity risk (continued)**Financial liabilities*

The following tables detail the remaining contractual maturity for financial liabilities. The tables have been drawn up based on the undiscounted cash flows of financial liabilities based on the earliest date on which the Group and the HDB can be contractually required to pay.

	<i>On demand or within 1 year \$'000</i>	<i>Within 1 to 5 years \$'000</i>	<i>After 5 years \$'000</i>
<u>Group</u>			
<i>31 March 2023</i>			
Loans payable	6,679,130	31,257,076	37,875,967
Lease liabilities	9,317	10,580	2,193
Payables ⁽¹⁾	1,795,183	0	0
<i>31 March 2022</i>			
Loans payable	10,078,461	27,534,089	37,636,371
Lease liabilities	10,807	18,562	2,754
Payables ⁽¹⁾	1,846,300	0	0
<u>HDB</u>			
<i>31 March 2023</i>			
Loans payable	6,679,130	31,257,076	37,875,967
Lease liabilities	3,864	4,262	0
Payables (including amount due to subsidiary) ⁽¹⁾	1,785,815	0	0
<i>31 March 2022</i>			
Loans payable	10,078,461	27,534,089	37,636,371
Lease liabilities	4,983	7,352	0
Payables (including amount due to subsidiary) ⁽¹⁾	1,836,519	0	0

⁽¹⁾ Excludes down payment deposits and advances, deferred income, and provisions.

(f) *Fair value of financial assets and liabilities*

The carrying amounts of cash and cash equivalents, trade and other current receivables, payables and other current liabilities approximate their respective fair values due to the relatively short-term maturity of these financial instruments. The fair values of loans receivable, loans payable, and investment securities are disclosed in the respective notes to financial statements.

The fair values of financial assets (such as investment securities) that are traded in active liquid markets are determined with reference to quoted market prices at the balance sheet date. The quoted market price used for financial assets held by the Group is the closing market price.

4. FINANCIAL RISKS AND MANAGEMENT (*continued*)(f) *Fair value of financial assets and liabilities (continued)**Fair value hierarchy*

The Group classifies fair value measurements using a fair value hierarchy that reflects the significance of the inputs used in making the measurements. The fair value hierarchy has the following levels:

Level 1 — Quoted prices (unadjusted) in active markets for identical assets or liabilities that the Group can access at the measurement date;

Level 2 — Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices); and

Level 3 — Inputs for the asset or liability that are not based on observable market data (unobservable inputs)

The following table shows an analysis of each class of assets and liabilities measured at fair value at the end of the reporting period:

	<u>Level 1</u>	<u>Group</u>	<u>Total</u>
	\$'000		\$'000
<i>31 March 2023</i>			
Investment securities	16,057		16,057
<i>31 March 2022</i>			
Investment securities	16,757		16,757

(g) *Capital risk management policies and objectives*

As a statutory board, the HDB's primary mission is to achieve the Government's social objectives. The HDB's development programmes and operational requirements are financed by housing development loans from the Government, bank loans and bonds issued. The MOF will act as a lender of last resort to the HDB for its funding requirements. The MOF has funded the HDB's past deficits. The provision of any loan or funding (including the quantum) are at the absolute discretion of the Minister for Finance and the Government of Singapore, which do not guarantee the direct or indirect payment of any debt obligations of the HDB.

The HDB's deficit is financed by government grant. A grant is also given to the HDB to protect the reserves of past governments in accordance with the Constitution of the Republic of Singapore. The HDB's mission and financing arrangement with the MOF remains unchanged from the last financial year.

5. CAPITAL AND RESERVES

(a) *Share capital*

Under the MOF's Capital Management Framework for Statutory Boards (Finance Circular Minute No. M26/2008), the HDB received \$1,000 equity contribution in 2008/2009 from the Minister for Finance, the body incorporated by the Minister for Finance (Incorporation) Act 1959.

(b) *Capital account*

The capital account represents:

- (i) the effects of identification and valuation of all properties and changes in accounting when the HDB adopted the present conventional accounting system on 1 April 1985; and
- (ii) the premium on the sale of land under the previous accounting system.

5. CAPITAL AND RESERVES (*continued*)

(c) *Capital gains reserve*

Under the Constitution of the Republic of Singapore, reserves of the HDB which were not accumulated during the current term of office of the Government cannot be drawn on without the approval of the President. The capital gains reserve relates to capital gains attributable to past governments on disposal of assets held at the changeover date of the Government.

For properties returned to the Government under Article 22B(9) of the Constitution, an amount equivalent to the net book value of the properties is charged to the capital gains reserve.

(d) *Asset revaluation reserve*

The previous accounting system did not maintain individual asset accounts and the HDB was unable to identify the historical cost of each asset. When the HDB first adopted the present conventional accounting system in 1985, all properties owned by the HDB on 1 April 1985 were valued at that date for the purpose of creating asset accounts arising from a change in accounting policy. The bases of valuation were:

- (i) Land and buildings of residential properties together with ancillary facilities such as car parks, markets and hawker centres were valued at replacement cost less depreciation since the date of completion of construction; and
- (ii) Land and buildings for commercial properties were valued at open market values.

The HDB conducted a second valuation for the commercial properties on 31 March 1986. The valuations were conducted by its in-house valuers. The surplus over the estimated historical cost of the properties which could be reasonably identified is carried forward as the asset revaluation reserve. On 1 April 2005, the asset revaluation reserve in respect of investment properties was reclassified to capital gains reserve.

The balance in the asset revaluation reserve is released directly to retained earnings upon disposal of the other properties.

When properties which were previously carried at revalued amounts are impaired, the impairment loss would be charged to the asset revaluation reserve unless the balance in the asset revaluation reserve is insufficient to cover the loss, in which case the amount by which the loss exceeds the amount in the asset revaluation reserve in respect of the same class of assets is charged to the income and expenditure statement.

6. PROPERTY, PLANT AND EQUIPMENT

							Office Equipment, Furniture, Fittings, and Fixtures, and Vehicles	
<i>Group</i>	<i>Freehold Land</i>	<i>Leasehold Land</i>	<i>Buildings</i>	<i>Leasehold Properties</i>	<i>Assets under Development</i>	<i>Plant and Machinery</i>		<i>Total</i>
	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
Cost								
At 1 April 2021	157,317	16,014,424	14,047,116	23,888	3,335,122	7,169	63,504	33,648,540
Reclassification (Note 10)	0	0	0	0	0	0	(1,913)	(1,913)
Additions	7,289	372,234	250,271	0	910,393	6	3,549	1,543,742
Disposals/write-off	0	(85,600)	(5,965)	0	0	(80)	(3,548)	(95,193)
Transfer from investment properties	0	1,746	173	0	0	0	0	1,919
Transfer (to)/from properties for sale	(877)	15,557	18,885	0	0	0	0	33,565
Reclassifications within Note 6	0	417,481	411,360	0	(828,841)	0	0	0
At 31 March 2022	163,729	16,735,842	14,721,840	23,888	3,416,674	7,095	61,592	35,130,660
Accumulated depreciation and impairment losses								
At 1 April 2021	0	3,360,527	3,600,940	10,636	0	6,829	46,758	7,025,690
Reclassification (Note 10)	0	0	0	0	0	0	(655)	(655)
Depreciation	0	182,290	280,118	795	0	86	5,840	469,129
Disposals/write-off	0	(29,785)	(3,169)	0	0	(80)	(3,534)	(36,568)
Transfer from investment properties	0	230	64	0	0	0	0	294
Transfer to properties for sale	0	(1,416)	(2,907)	0	0	0	0	(4,323)
Reversal of impairment losses	0	(150)	(40)	0	0	0	0	(190)
At 31 March 2022	0	3,511,696	3,875,006	11,431	0	6,835	48,409	7,453,377
Carrying amount								
At 31 March 2022	163,729	13,224,146	10,846,834	12,457	3,416,674	260	13,183	27,677,283

6. PROPERTY, PLANT AND EQUIPMENT (*continued*)

	<i>Freehold Land</i>	<i>Leasehold Land</i>	<i>Buildings</i>	<i>Leasehold Properties</i>	<i>Assets under Development</i>	<i>Plant and Machinery</i>	<i>Office Equipment, Furniture, Fittings, and Fixtures, and Vehicles</i>	<i>Total</i>
<i>Group</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>	<i>\$'000</i>
Cost								
At 1 April 2022	163,729	16,735,842	14,721,840	23,888	3,416,674	7,095	61,592	35,130,660
Additions	8,506	442,788	287,981	0	1,398,313	59	4,605	2,142,252
Disposals/write-off	0	(32,880)	(16,399)	0	(3,190)	(3)	(8,530)	(61,002)
Transfer from investment properties	0	5,886	11,036	0	0	0	0	16,922
Transfer (to)/from properties for sale	(1,124)	77,354	99,693	0	0	0	0	175,923
Reclassifications within Note 6	0	406,268	530,216	0	(937,066)	0	582	0
At 31 March 2023	171,111	17,635,258	15,634,367	23,888	3,874,731	7,151	58,249	37,404,755
Accumulated depreciation and impairment losses								
At 1 April 2022	0	3,511,696	3,875,006	11,431	0	6,835	48,409	7,453,377
Depreciation	0	191,524	300,008	795	0	64	5,439	497,830
Disposals/write-off	0	(11,132)	(11,930)	0	0	(3)	(8,446)	(31,511)
Transfer from investment properties	0	1,691	5,748	0	0	0	0	7,439
Transfer to properties for sale	0	(1,844)	(3,940)	0	0	0	0	(5,784)
Reversal of impairment losses	0	(326)	(73)	0	0	0	0	(399)
At 31 March 2023	0	3,691,609	4,164,819	12,226	0	6,896	45,402	7,920,952
Carrying amount								
At 31 March 2023	171,111	13,943,649	11,469,548	11,662	3,874,731	255	12,847	29,483,803

6. PROPERTY, PLANT AND EQUIPMENT (*continued*)

	<i>Freehold Land</i>	<i>Leasehold Land</i>	<i>Buildings</i>	<i>Leasehold Properties</i>	<i>Assets under Development</i>	<i>Plant and Machinery</i>	<i>Office Equipment, Furniture, Fittings, and Fixtures, and Vehicles</i>	<i>Total</i>
	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
HDB								
Cost								
At 1 April 2021	157,317	16,014,424	14,024,997	23,888	3,335,122	7,009	53,844	33,616,601
Additions	7,289	372,234	250,266	0	910,393	6	3,117	1,543,305
Disposals/write-off	0	(85,600)	(5,965)	0	0	(80)	(3,013)	(94,658)
Transfer from investment properties	0	1,746	173	0	0	0	0	1,919
Transfer (to)/from properties for sale	(877)	15,557	18,885	0	0	0	0	33,565
Reclassifications within Note 6	0	417,481	411,360	0	(828,841)	0	0	0
At 31 March 2022	163,729	16,735,842	14,699,716	23,888	3,416,674	6,935	53,948	35,100,732
Accumulated depreciation and impairment losses								
At 1 April 2021	0	3,360,527	3,589,909	10,636	0	6,670	42,472	7,010,214
Depreciation	0	182,290	279,170	795	0	85	5,056	467,396
Disposals/write-off	0	(29,785)	(3,169)	0	0	(80)	(3,013)	(36,047)
Transfer from investment properties	0	230	64	0	0	0	0	294
Transfer to properties for sale	0	(1,416)	(2,907)	0	0	0	0	(4,323)
Reversal of impairment losses	0	(150)	(40)	0	0	0	0	(190)
At 31 March 2022	0	3,511,696	3,863,027	11,431	0	6,675	44,515	7,437,344
Carrying amount								
At 31 March 2022	163,729	13,224,146	10,836,689	12,457	3,416,674	260	9,433	27,663,388

6. PROPERTY, PLANT AND EQUIPMENT (*continued*)

	<i>Freehold Land</i>	<i>Leasehold Land</i>	<i>Buildings</i>	<i>Leasehold Properties</i>	<i>Assets under Development</i>	<i>Plant and Machinery</i>	<i>Office Equipment, Furniture, Fittings, and Fixtures, and Vehicles</i>	<i>Total</i>
<i>HDB</i>	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000	\$'000
Cost								
At 1 April 2022	163,729	16,735,842	14,699,716	23,888	3,416,674	6,935	53,948	35,100,732
Additions	8,506	442,788	287,981	0	1,398,313	59	4,438	2,142,085
Disposals/write-off	0	(32,880)	(16,088)	0	(3,190)	(3)	(8,378)	(60,539)
Transfer from investment properties	0	5,886	11,036	0	0	0	0	16,922
Transfer (to)/from properties for sale	(1,124)	77,354	99,693	0	0	0	0	175,923
Reclassifications within Note 6	0	406,268	530,216	0	(937,066)	0	582	0
At 31 March 2023	171,111	17,635,258	15,612,554	23,888	3,874,731	6,991	50,590	37,375,123
Accumulated depreciation and impairment losses								
At 1 April 2022	0	3,511,696	3,863,027	11,431	0	6,675	44,515	7,437,344
Depreciation	0	191,524	298,962	795	0	64	4,630	495,975
Disposals/write-off	0	(11,132)	(11,619)	0	0	(3)	(8,332)	(31,086)
Transfer from investment properties	0	1,691	5,748	0	0	0	0	7,439
Transfer to properties for sale	0	(1,844)	(3,940)	0	0	0	0	(5,784)
Reversal of impairment losses	0	(326)	(73)	0	0	0	0	(399)
At 31 March 2023	0	3,691,609	4,152,105	12,226	0	6,736	40,813	7,903,489
Carrying amount								
At 31 March 2023	171,111	13,943,649	11,460,449	11,662	3,874,731	255	9,777	29,471,634

6. PROPERTY, PLANT AND EQUIPMENT (*continued*)

Land and buildings comprise residential car parks, flats on rental or short-term leases, commercial properties, and markets and hawker centres. Under the agreement with the National Environment Agency (“NEA”) for the management and maintenance of markets and hawker centres belonging to HDB, the NEA shall retain the rental collected, bear the operating expenses and reimburse the HDB for the holding costs of these properties. The reimbursement is recorded in “Recoveries” (Note 22). The net book value of these markets and hawker centres was \$367 million (2021/2022: \$377 million).

The impairment losses and reversal of impairment losses in respect of certain commercial properties were recognised based on the estimated recoverable values, taking into account the recent tenders and market comparables for these properties.

7. INVESTMENT PROPERTIES

	<u>Group</u>	<u>HDB</u>
	\$'000	\$'000
Cost		
At 1 April 2021	1,247,629	1,227,681
Disposals/write-off	(10,926)	(1)
Transfer to property, plant and equipment	(1,919)	(1,919)
At 31 March 2022	1,234,784	1,225,761
Accumulated depreciation and impairment losses		
At 1 April 2021	392,100	386,669
Depreciation	16,713	16,481
Disposals/write-off	(3,007)	0
Transfer to property, plant and equipment	(294)	(294)
At 31 March 2022	405,512	402,856
Carrying amount		
At 31 March 2022	829,272	822,905
Fair value		
At 31 March 2022	6,093,953	6,069,653

7. INVESTMENT PROPERTIES (*continued*)

	<u>Group</u>	<u>HDB</u>
	\$'000	\$'000
Cost		
At 1 April 2022	1,234,784	1,225,761
Additions	5,947	5,947
Disposals/write-off	(8,506)	(1,340)
Transfer to property, plant and equipment	(16,922)	(16,922)
At 31 March 2023	1,215,303	1,213,446
Accumulated depreciation and impairment losses		
At 1 April 2022	405,512	402,856
Depreciation	16,519	16,471
Disposals/write-off	(2,617)	(479)
Transfer to property, plant and equipment	(7,439)	(7,439)
At 31 March 2023	411,975	411,409
Carrying amount		
At 31 March 2023	803,328	802,037
Fair value		
At 31 March 2023	6,043,183	6,039,183

The fair value of the investment properties, which are leasehold in nature, is determined based on the comparable sales method or the income approach as stated in Note 2.12 to the financial statements based on the properties' highest and best use.

The fair value of the Group's investment properties, classified as Level 3 fair value, has been derived using the comparable sales method. In arriving at its fair value, the selling price of shops and office in the vicinity are considered. Adjustments have been made to reflect the differences in size, location, condition, tenure, prevailing market conditions including improvements in market rentals and other relevant factors affecting its fair value.

In the absence of available market information on comparable sales, fair value of the Group's investment properties is derived based on the income method. In arriving at its fair value, the contractual or market rents are considered with the application of an appropriate discount rate to obtain the present value of future cash flows.

The property rental income from the Group's investment properties all of which are leased out under operating leases, amounted to \$159 million (2021/2022: \$130 million). Direct operating expenses (including repairs and maintenance) arising from the rental-generating investment properties amounted to \$70 million (2021/2022: \$61 million).

The impairment losses and reversal of impairment losses are recognised to reflect the estimated recoverable amount based on the prevailing market conditions.

8. LOANS RECEIVABLE

	<u>Group</u>		<u>HDB</u>	
	<u>31 March 2023</u>	<u>31 March 2022</u>	<u>31 March 2023</u>	<u>31 March 2022</u>
	\$'000	\$'000	\$'000	\$'000
<i>Loans receivable</i>				
Mortgage loans for flats	38,243,517	36,591,451	38,243,517	36,591,451
Late payment charges for mortgage loans	39,542	31,064	39,542	31,064
Staff loans	0	5	0	0
	<u>38,283,059</u>	<u>36,622,520</u>	<u>38,283,059</u>	<u>36,622,515</u>
<i>Deferred receivable</i>				
Upgrading costs due from lessees	41,808	44,818	41,808	44,818
	<u>38,324,867</u>	<u>36,667,338</u>	<u>38,324,867</u>	<u>36,667,333</u>
<i>Less:</i>				
Allowance for impairment losses	(2,232)	(2,467)	(2,232)	(2,467)
Balance as at 31 March	<u>38,322,635</u>	<u>36,664,871</u>	<u>38,322,635</u>	<u>36,664,866</u>
Represented by amount receivable:				
Within 1 year	2,556,370	2,498,624	2,556,370	2,498,619
Later than 1 year but not more than 2 years	2,120,188	2,056,113	2,120,188	2,056,113
Later than 2 years but not more than 5 years	6,289,069	6,043,231	6,289,069	6,043,231
Later than 5 years	27,357,008	26,066,903	27,357,008	26,066,903
	<u>38,322,635</u>	<u>36,664,871</u>	<u>38,322,635</u>	<u>36,664,866</u>

The mortgage loans are granted to the buyers of flats under the public housing schemes (Note 19) with the flats held as collateral. The carrying amounts of loans receivable approximate their fair values.

The loans receivable and deferred receivable are denominated in Singapore dollars.

The movement in allowance for impairment losses on loans receivable for the Group is as follows:

	<u>Group and HDB</u>	
	<u>31 March 2023</u>	<u>31 March 2022</u>
	\$'000	\$'000
Balance as at 1 April	2,467	3,021
Loss/(reversal of) allowance	38	(242)
Bad debts written off against allowance	(273)	(312)
Balance as at 31 March	<u>2,232</u>	<u>2,467</u>

For the loans receivable, there is no significant loss allowance provided in relation to the next 12 months.

8. LOANS RECEIVABLE (*continued*)

Interest rates and repayment terms on the loans are:

	<u>Interest rate</u> (per annum)	<u>Repayment term</u>
Mortgage loans granted to lessees for purchase of flats under public housing schemes	2.60% to 3.16% (2021/2022: 2.60% to 3.16%)	Up to 30 years
Loans granted to staff	Nil (2021/2022: 4.25%)	Up to 7 years
Upgrading costs due from flat lessees	2.60% to 3.16% (2021/2022: 2.60% to 3.16%)	Up to 25 years

A credit assessment based on objective criteria is carried out for loans granted. The loans are secured by the flats that are sold. The loans are collected through monthly instalment payments from the loan recipients. Instalment payments are due on the 1st day of every month. Late payment charges will be imposed based on the outstanding balance as at the end of each month, in accordance with the Housing and Development (Penalties for Late Payment) Rules and the Housing and Development (Interest and Penalties for Late Payment of Improvement Contributions) Rules.

In determining the recoverability of the loans receivable, the HDB considers any change in credit quality of the loan, the probability of default, the duration of the loan in arrears, and the market value of the collateral as at the reporting date. Accordingly, an allowance of \$2 million (2021/2022: \$2 million) representing 0.01% (2021/2022: 0.01%) of the total loans receivable had been made.

9. RIGHT-OF-USE ASSETS AND LEASE LIABILITIES

The Group leases properties and equipment from non-related parties. Set out below are the carrying amounts of right-of-use assets recognised and the movements during the period:

	<u>Group</u> 31 March 2022				<u>HDB</u> 31 March 2022			
	\$'000				\$'000			
	<u>Buildings</u>	<u>Plant and Machinery</u>	<u>Office Equipment</u>	<u>Total</u>	<u>Buildings</u>	<u>Plant and Machinery</u>	<u>Office Equipment</u>	<u>Total</u>
As at 1 April	26,127	6,904	239	33,270	1,852	6,904	33	8,789
Additions	11,222	8,200	1,037	20,459	0	8,200	20	8,220
Depreciation	(7,228)	(3,908)	(367)	(11,503)	(945)	(3,908)	(17)	(4,870)
Derecognition ^(a)	(12,655)	(398)	0	(13,053)	0	(398)	0	(398)
As at 31 March	17,466	10,798	909	29,173	907	10,798	36	11,741

	<u>Group</u> 31 March 2023				<u>HDB</u> 31 March 2023			
	\$'000				\$'000			
	<u>Buildings</u>	<u>Plant and Machinery</u>	<u>Office Equipment</u>	<u>Total</u>	<u>Buildings</u>	<u>Plant and Machinery</u>	<u>Office Equipment</u>	<u>Total</u>
As at 1 April	17,466	10,798	909	29,173	907	10,798	36	11,741
Additions	1,066	76	0	1,142	1,066	76	0	1,142
Depreciation	(6,841)	(4,179)	(365)	(11,385)	(981)	(4,179)	(17)	(5,177)
As at 31 March	11,691	6,695	544	18,930	992	6,695	19	7,706

9. RIGHT-OF-USE ASSETS AND LEASE LIABILITIES (*continued*)

Set out below are the carrying amounts of lease liabilities and the movements during the period:

	<u>Group</u>		<u>HDB</u>	
	<u>31 March 2023</u>	<u>31 March 2022</u>	<u>31 March 2023</u>	<u>31 March 2022</u>
	\$'000	\$'000	\$'000	\$'000
As at 1 April	30,242	34,582	11,910	8,953
Additions	1,142	20,638	1,142	8,220
Accretion of interest (Note 23)	684	858	243	225
Payments	(11,230)	(12,200)	(5,405)	(5,065)
Derecognition ^(a)	0	(13,636)	0	(423)
As at 31 March	<u>20,838</u>	<u>30,242</u>	<u>7,890</u>	<u>11,910</u>
Current	8,959	10,618	3,824	5,235
Non-current	11,879	19,624	4,066	6,675

^(a) The derecognition is due to the remeasurement of lease liabilities.

The Group applies the 'short-term lease' and 'lease of low-value assets' recognition exemptions for leases with lease terms of 12 months or less and leases of equipment with low-value. The expenses for short-term leases and leases of low-value assets are disclosed in Note 24.

10. INTANGIBLE ASSETS

	<u>Group</u>	<u>HDB</u>
	<u>\$'000</u>	<u>\$'000</u>
	<u>Software licences</u>	<u>Software licences</u>
Cost		
At 1 April 2021	0	0
Reclassification (Note 6)	1,913	0
Additions	13,302	13,198
Disposals/write-off	(398)	0
At 31 March 2022	<u>14,817</u>	<u>13,198</u>
Accumulated amortisation and impairment losses		
At 1 April 2021	0	0
Reclassification (Note 6)	655	0
Amortisation	1,054	746
Disposals/write-off	(201)	0
At 31 March 2022	<u>1,508</u>	<u>746</u>
Net carrying amount		
At 31 March 2022	<u>13,309</u>	<u>12,452</u>

10. INTANGIBLE ASSETS (*continued*)

	<u>Group</u>	<u>HDB</u>
	<u>\$'000</u>	<u>\$'000</u>
	<u>Software</u>	<u>Software</u>
	<u>licences</u>	<u>licences</u>
Cost		
At 1 April 2022	14,817	13,198
Additions	3,925	3,905
At 31 March 2023	18,742	17,103
Accumulated amortisation and impairment losses		
At 1 April 2022	1,508	746
Amortisation	3,682	3,394
At 31 March 2023	5,190	4,140
Net carrying amount		
At 31 March 2023	13,552	12,963

11. INVESTMENT IN SUBSIDIARIES

	<u>HDB</u>
	<u>31 March</u>
	<u>2023</u>
	<u>\$'000</u>
Unquoted equity investment at cost	1,500

Details of the subsidiaries at the end of the reporting period are as follows:

<u>Name of subsidiaries</u>	<u>Principal activities</u>	<u>Country of</u>	<u>Percentage of</u>	
		<u>incorporation</u>	<u>equity held</u>	
			<u>31 March</u>	<u>31 March</u>
			<u>2023</u>	<u>2022</u>
			<u>%</u>	<u>%</u>
<i>Direct subsidiary</i>				
E M Services Pte Ltd ^(a)	Property management and engineering services	Singapore	75	75
<i>Indirect subsidiaries</i>				
E M Real Estate Pte Ltd ^(a)	Property management	Singapore	100	100
E M Learning Pte Ltd ^(a)	Corporate training services	Singapore	100	100
E M Engineering Pte Ltd ^(a)	Engineering services	Singapore	100	100

^(a) Audited by KPMG LLP.

12. INVESTMENT SECURITIES

	<u>Group</u>
	<u>31 March</u>
	<u>2023</u>
	<u>\$'000</u>
<i>Non-current investments:</i>	
Equity securities (quoted), at fair value	16,057

The investment securities are measured at FVOCI. The fair value of investments in quoted investments is based on the quoted closing market prices on the last market day of the financial year. These are classified as Level 1 of the fair value hierarchy.

13. INCOME TAX

(a) *Income tax expense*

	<i>Group</i>	
	<i>2022/2023</i>	<i>2021/2022</i>
	\$'000	\$'000
Tax expense attributable to profit is made up of:		
— Current income tax	4,121	3,444
— Deferred income tax	(1,672)	(1,113)
	2,449	2,331
Under/(over) provision in prior financial years		
— Current income tax	1	(10)
— Deferred income tax	8	(139)
	9	(149)
	2,458	2,182
<i>Reconciliation of effective tax rate:</i>		
Net surplus before taxation	24,245	59,270
<i>Less:</i>		
Net surplus of the HDB excluding intra-group transactions	(1,639)	(24,764)
Net surplus subject to taxation	22,606	34,506
Tax at statutory rate of 17% (2021/2022: 17%)	3,843	5,866
Expenses not deductible for tax purpose	264	420
Tax exempt income	(127)	(1,719)
Income not subject to tax	(1,423)	(2,397)
Under/(over) provision of income tax in prior years	9	(149)
Change in unrecognised temporary differences	(108)	161
	2,458	2,182

(b) *Deferred tax assets/(liabilities)*

The following are the major deferred tax assets and liabilities recognised by the Group, and the movements thereon, during the current and prior reporting periods:

	<i>Deferred tax liabilities</i>	<i>Deferred tax assets</i>			<i>Deferred tax assets/(liabilities)</i>
	<i>Capital allowances</i>	<i>Accrued operating expenses</i>	<i>Tax losses</i>	<i>Lease liabilities-net</i>	<i>Total</i>
	\$'000	\$'000	\$'000	\$'000	\$'000
<i>Group</i>					
At 31 March 2021	(5,353)	611	116	165	(4,461)
Charged to income and expenditure statement	1,363	(123)	12	0	1,252
At 31 March 2022	(3,990)	488	128	165	(3,209)
Charged to income and expenditure statement	1,813	144	(128)	(165)	1,664
At 31 March 2023	(2,177)	632	0	0	(1,545)

14. PROPERTIES UNDER DEVELOPMENT

	<i>Group and HDB</i>	
	<i>31 March 2023</i>	<i>31 March 2022</i>
	\$'000	\$'000
Land	17,563,080	17,235,198
Buildings	5,412,555	5,275,358
Upgrading works	32,306	20,956
	23,007,941	22,531,512
<i>Less:</i>		
Provision for foreseeable loss (Note 2.14)	(9,665,764)	(7,067,526)
Balance as at 31 March	13,342,177	15,463,986

15. PROPERTIES FOR SALE

	<i>Group and HDB</i>	
	<i>31 March 2023</i>	<i>31 March 2022</i>
	\$'000	\$'000
Cost of properties	1,845,576	977,891
<i>Less:</i>		
Provision for foreseeable loss (Note 2.15)	(255,395)	(193,188)
Balance as at 31 March	1,590,181	784,703

16. GOVERNMENT GRANT RECEIVABLE

	<i>Group and HDB</i>	
	<i>31 March 2023</i>	<i>31 March 2022</i>
	\$'000	\$'000
Balance as at 1 April	5,017,459	3,749,091
Government grant for the current year	5,388,808	4,400,543
	10,406,267	8,149,634
<i>Less:</i>		
Amount received	(7,131,548)	(3,132,175)
Balance as at 31 March	3,274,719	5,017,459

The government grant for the current year covers the deficit to be financed by the Government under the existing financing arrangement (Note 2.18).

17. TRADE AND OTHER RECEIVABLES

	<u>Group</u>		<u>HDB</u>	
	<u>31 March 2023</u>	<u>31 March 2022</u>	<u>31 March 2023</u>	<u>31 March 2022</u>
	\$'000	\$'000	\$'000	\$'000
Trade receivables	1,524,190	1,389,022	1,495,907	1,354,241
Less:				
Allowance for impairment losses	(28,925)	(26,506)	(28,872)	(26,506)
	1,495,265	1,362,516	1,467,035	1,327,735
Other receivables	264,425	259,373	259,496	254,834
Less:				
Allowance for impairment losses	(24)	(24)	(24)	(24)
	264,401	259,349	259,472	254,810
Prepayments and deferred costs	18,069	24,298	8,382	7,290
Deposits	2,342	1,330	2,150	1,129
Balance as at 31 March	1,780,077	1,647,493	1,737,039	1,590,964

Included in the Group's trade receivables balance is the CPF Housing Grant of \$1,174 million (2021/2022: \$1,069 million) that had been disbursed to eligible households for the purchase of flats from the HDB. The CPF Housing Grant disbursed in the current year amounted to \$457 million (2021/2022: \$372 million). The amount disbursed will be offset against the sale proceeds on sale of the flat (Notes 2.20(a) and 2.25).

In determining the recoverability of a trade receivable, the Group considers any change in the credit quality of the trade receivable as at the reporting date. The Group provides for lifetime expected credit losses for trade and other receivables, based on reasonable and supportable information available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions. The concentration of credit risk is limited due to the large and unrelated customer base.

The movements in allowance for impairment losses on trade and other receivables for the Group and the HDB are as follows:

	<u>Group</u>		<u>HDB</u>	
	<u>31 March 2023</u>	<u>31 March 2022</u>	<u>31 March 2023</u>	<u>31 March 2022</u>
	\$'000	\$'000	\$'000	\$'000
Balance as at 1 April	26,530	25,320	26,530	25,320
Loss allowance	6,519	5,523	6,466	5,523
Bad debts written off against allowance	(4,100)	(4,313)	(4,100)	(4,313)
Balance as at 31 March	28,949	26,530	28,896	26,530

18. CASH AND BANK BALANCES

	<u>Group</u>		<u>HDB</u>	
	<i>31 March 2023</i>	<i>31 March 2022</i>	<i>31 March 2023</i>	<i>31 March 2022</i>
	\$'000	\$'000	\$'000	\$'000
Cash and bank balances	94,765	112,559	55,111	31,059
Fixed deposits	101,754	25,830	1,798	1,776
Balance as at 31 March	196,519	138,389	56,909	32,835
<i>Less:</i>				
Funds held in trust	(3,804)	(12,240)	(3,804)	(12,240)
Cash and cash equivalents as at 31 March	192,715	126,149	53,105	20,595

Amount held in trust comprises mainly monies maintained by the Group with financial institutions on behalf of its principal for agency projects, fixed deposits placed on behalf of Club HDB, and funds held for management of properties.

Cash and bank balances comprise cash and short-term bank deposits held by the Group, which includes bank balances of \$81 million (2021/2022: \$32 million) held by Accountant-General's Department ("AGD") under the Government's Centralised Liquidity Management Framework for Statutory Boards. The carrying amounts of these assets approximate their fair values.

Fixed deposits, excluding those held in trust at the financial year end, bear average effective interest of 3.2% (2021/2022: 0.05%) per annum and for a tenure from 1 to 3 months (2021/2022: 1 to 3 months).

19. LOANS PAYABLE

	<u>Group</u>		<u>HDB</u>	
	<i>31 March 2023</i>	<i>31 March 2022</i>	<i>31 March 2023</i>	<i>31 March 2022</i>
	\$'000	\$'000	\$'000	\$'000
<i>Government loans</i>				
Mortgage financing loans	37,557,283	36,625,107	37,557,283	36,625,107
Upgrading financing loans	19,938	21,866	19,938	21,866
	37,577,221	36,646,973	37,577,221	36,646,973
<i>Bonds</i>				
Principal	28,220,000	26,919,000	28,220,000	26,920,000
Unamortised transaction cost	(66,885)	(53,773)	(66,885)	(53,773)
	28,153,115	26,865,227	28,153,115	26,866,227
Bank loans	0	2,139,000	0	2,139,000
	65,730,336	65,651,200	65,730,336	65,652,200
Interest payable	196,734	143,881	196,734	143,881
Balance as at 31 March	65,927,070	65,795,081	65,927,070	65,796,081

19. LOANS PAYABLE (*continued*)

	<u>Group</u>		<u>HDB</u>	
	<u>31 March 2023</u>	<u>31 March 2022</u>	<u>31 March 2023</u>	<u>31 March 2022</u>
	\$'000	\$'000	\$'000	\$'000
Represented by amount payable:				
Within 1 year	5,132,501	8,646,876	5,132,501	8,646,876
Later than 1 year but not more than 2 years	6,541,625	4,838,072	6,541,625	4,839,072
Later than 2 years but not more than 5 years	19,984,954	18,368,782	19,984,954	18,368,782
Later than 5 years	34,267,990	33,941,351	34,267,990	33,941,351
	<u>65,927,070</u>	<u>65,795,081</u>	<u>65,927,070</u>	<u>65,796,081</u>
Fair value of bonds	<u>26,893,382</u>	<u>26,462,952</u>	<u>26,893,382</u>	<u>26,463,956</u>

Under the Agreements for Loan Facility with the Government, mortgage and upgrading financing loans are obtained from the Government to finance loans granted to eligible purchasers of flats under the public housing schemes at interest rates that are in accordance with prevailing mortgage financing policy and upgrading programmes of the Government.

The fair value of the bonds is based on quoted market prices not traded in an active market at the end of the reporting period. The indicative ask price for the bonds issued by the Group, is classified as Level 2 fair value.

The carrying amounts of government loans and bank loans approximate their fair values. The bank loans are unsecured.

There are no outstanding bank loans as at 31 March 2023.

The loans and bonds are denominated in Singapore dollars.

The average effective interest rates paid and repayment terms on the loans are:

	<u>Interest rate</u>	<u>Repayment term</u>
	(per annum)	
Mortgage financing loans	2.50% to 3.06% (2021/2022: 2.50% to 3.06%)	Up to 30 years
Upgrading financing loans	2.50% (2021/2022: 2.50%)	10 years
Bank loans (unsecured)	0.39% to 4.84% (2021/2022: 0.17% to 0.90%)	Within 1 year

19. LOANS PAYABLE (*continued*)

Bonds are issued to finance the HDB's development programmes and working capital requirements. The bonds are as follows:

<i>Series number</i>	<i>Principal</i>	<i>Coupon rate (%)</i>	<i>Effective interest rate (%)</i>	<i>Tenure</i>	<i>Maturity</i>
	\$M	(per annum)	(per annum)		
045	585	2.5050	2.5575	12 years	27 June 2024
057	600	3.9480	4.0150	15 years	29 January 2029
060	900	3.1000	3.1440	10 years	24 July 2024
062	600	3.2200	3.2230	12 years	1 December 2026
067	700	2.5450	2.5668	15 years	4 July 2031
069	700	1.9100	1.9235	7 years	10 August 2023
070	600	2.0350	2.0626	10 years	16 September 2026
074	500	2.3500	2.3712	10 years	25 May 2027
076	640	2.5980	2.6261	12 years	30 October 2029
077	680	2.2500	2.2609	7 years	21 November 2024
078	515	2.3200	2.3313	10 years	24 January 2028
080	500	3.0800	3.1147	12 years	31 May 2030
081	700	2.4200	2.4938	5 years	24 July 2023
082	700	2.6250	2.7356	7 years	17 September 2025
083	500	2.5500	2.6252	5 years	20 November 2023
084	600	2.6750	2.7671	10 years	22 January 2029
085	500	2.4950	2.5257	7 years	11 March 2026
086	700	2.1640	2.1693	5 years	22 May 2024
087	600	2.2700	2.3038	10 years	16 July 2029
088	500	2.3150	2.3687	15 years	18 September 2034
089	700	1.7500	1.7605	5 years	25 November 2024
090	700	1.7600	1.8135	7 years	24 February 2027
091	800	1.2650	1.3239	10 years	24 June 2030
092	800	0.6900	0.7206	5 years	15 September 2025
093	600	1.3000	1.3487	15 years	3 December 2035
094	800	0.6350	0.6431	5 years	19 January 2026
095	900	1.3700	1.3858	7 years	16 March 2028
096	900	1.7300	1.8289	10 years	19 May 2031
097	750	1.8650	1.8987	12 years	21 July 2033
098	900	1.5400	1.5612	7 years	12 October 2028
099	1,000	1.6450	1.6764	5 years	23 November 2026
100	950	1.9710	2.0790	7 years	25 January 2029
101	1,000	1.8450	1.8766	5 years	15 March 2027
102	900	2.6270	2.6794	3 years	9 June 2025
103	1,100	2.9400	3.0214	5 years	13 July 2027
104	1,000	3.4370	3.5508	7 years	13 September 2029
105	1,200	4.0900	4.1907	5 years	26 October 2027
106	900	3.9950	4.1111	7 years	6 December 2029

The Board members of the HDB as at the financial statements' authorisation date and who also held office at the end of the financial year, had no interests in the bonds issued by the HDB as at 31 March 2022 and 31 March 2023.

20. TRADE AND OTHER PAYABLES

	<u>Group</u>		<u>HDB</u>	
	<u>31 March 2023</u>	<u>31 March 2022</u>	<u>31 March 2023</u>	<u>31 March 2022</u>
	\$'000	\$'000	\$'000	\$'000
Trade payables	1,657,664	1,712,064	1,649,524	1,703,486
Downpayment deposits and advances	1,780,405	1,718,946	1,780,405	1,718,946
Other deposits	137,519	134,236	135,921	132,824
Deferred income (Note 21)	235,572	219,367	235,572	219,367
Provisions	38,079	34,424	20,000	20,000
	<u>3,849,239</u>	<u>3,819,037</u>	<u>3,821,422</u>	<u>3,794,623</u>

Provisions above include a \$20 million provision made for restoration works for a former quarry site, pending firm development plan of the agency taking over the site.

The movements in provisions for the Group and the HDB are:

	<u>Group</u>		<u>HDB</u>	
	<u>31 March 2023</u>	<u>31 March 2022</u>	<u>31 March 2023</u>	<u>31 March 2022</u>
	\$'000	\$'000	\$'000	\$'000
Balance as at 1 April	34,424	36,146	20,000	20,002
Provisions made/(reversed)	3,655	(1,722)	0	(2)
Balance as at 31 March	<u>38,079</u>	<u>34,424</u>	<u>20,000</u>	<u>20,000</u>

21. DEFERRED INCOME

	<u>Group</u>		<u>HDB</u>	
	<u>31 March 2023</u>	<u>31 March 2022</u>	<u>31 March 2023</u>	<u>31 March 2022</u>
	\$'000	\$'000	\$'000	\$'000
Within 1 year (Note 20)	235,572	219,367	235,572	219,367
After 1 year but within 5 years	698,083	626,914	698,083	626,914
After 5 years	3,011,993	2,673,712	3,011,993	2,673,712
	<u>3,945,648</u>	<u>3,519,993</u>	<u>3,945,648</u>	<u>3,519,993</u>

Deferred income relates principally to amount received in advance in respect of operating leases of land, commercial properties, and flats (Note 2.9).

22. INCOME

	<u>Group</u>		<u>HDB</u>	
	<u>2022/2023</u>	<u>2021/2022</u>	<u>2022/2023</u>	<u>2021/2022</u>
	\$'000	\$'000	\$'000	\$'000
Interest income	969,159	974,712	967,347	974,675
Rental and related income	960,678	814,369	952,675	806,455
Car park income	742,131	730,079	742,676	730,668
Recoveries for upgrading and others	59,851	55,800	59,851	55,800
Levy on resale flats and sales premium	141,126	108,262	141,126	108,262
Agency and consultancy fees	184,778	193,186	34,213	36,302
Gain/(loss) on disposal of assets	7,415	42,599	(957)	28,497
Investment income	764	702	6,369	9,059
Fees and other income	90,437	90,608	88,658	77,109
	<u>3,156,339</u>	<u>3,010,317</u>	<u>2,991,958</u>	<u>2,826,827</u>

Investment income includes:

	<u>Group</u>		<u>HDB</u>	
	<u>2022/2023</u>	<u>2021/2022</u>	<u>2022/2023</u>	<u>2021/2022</u>
	\$'000	\$'000	\$'000	\$'000
Dividend from:				
— Unquoted subsidiary	0	0	6,369	9,059
— Others	764	702	0	0

23. FINANCE EXPENSES

	<u>Group</u>		<u>HDB</u>	
	<u>2022/2023</u>	<u>2021/2022</u>	<u>2022/2023</u>	<u>2021/2022</u>
	\$'000	\$'000	\$'000	\$'000
Interest expense:				
— Government loans	923,908	941,595	923,908	941,595
— Bank loans	51,438	8,536	51,438	8,536
— Bonds	626,942	556,801	626,950	556,805
— Lease liabilities	684	858	243	225
	<u>1,602,972</u>	<u>1,507,790</u>	<u>1,602,539</u>	<u>1,507,161</u>
Less:				
Interest capitalised in properties and assets under development (Notes 6, 7, and 14)	(386,385)	(317,134)	(386,385)	(317,134)
Bond transaction cost amortisation	11,064	8,553	11,064	8,553
	<u>1,227,651</u>	<u>1,199,209</u>	<u>1,227,218</u>	<u>1,198,580</u>

During the financial year, interest capitalised as properties and assets under development amounted to \$386 million (2021/2022: \$317 million) at an average capitalisation rate of 2.29% (2021/2022: 2.04%).

24. EXPENSES BY NATURE

Expenses include the following:

	<i>Group</i>		<i>HDB</i>	
	<i>2022/2023</i>	<i>2021/2022</i>	<i>2022/2023</i>	<i>2021/2022</i>
	\$'000	\$'000	\$'000	\$'000
Cost of sales before net increase in provision for foreseeable loss	7,382,284	5,486,064	7,382,284	5,486,064
Release of foreseeable loss provided in previous years, upon sale	(1,309,810)	(661,164)	(1,309,810)	(661,164)
Provision for foreseeable loss for properties under development/for sale	4,021,654	2,923,295	4,021,654	2,923,295
Net increase in provision for foreseeable loss	2,711,844	2,262,131	2,711,844	2,262,131
Upgrading	476,025	318,647	476,025	318,647
Improvements and demolition	227,164	175,106	227,164	175,106
Depreciation and amortisation	529,415	498,399	521,017	489,493
Property tax	120,448	103,530	120,380	103,424
Reversal of impairment losses on property, plant and equipment and investment properties	(399)	(190)	(399)	(190)
Allowance for impairment losses on loans receivable and debtors	6,557	5,281	6,504	5,281
Bad debts written off	214	90	214	90
Expense for short-term leases	9,924	8,019	9,481	7,782
Expense for leases of low-value assets	4,374	4,537	4,374	4,537
Manpower costs (Note 25)	760,274	728,134	663,026	635,519
Manpower costs and overheads capitalised in:				
— properties and assets under development	(43,652)	(42,592)	(43,652)	(42,592)
— inventories of building materials	(635)	(467)	(635)	(467)
CPF Housing Grant (Note 2.25)	685,645	849,187	685,645	849,187

25. MANPOWER COSTS

	<i>Group</i>		<i>HDB</i>	
	<i>2022/2023</i>	<i>2021/2022</i>	<i>2022/2023</i>	<i>2021/2022</i>
	\$'000	\$'000	\$'000	\$'000
Salaries and bonuses	660,813	633,684	572,860	549,810
Contribution to CPF	75,769	72,633	68,655	65,533
Staff benefits	10,944	9,676	9,121	8,540
Training/development costs and others	12,748	12,141	12,390	11,636
	760,274	728,134	663,026	635,519

26. GOVERNMENT GRANT

Cumulative grant from the Government since the establishment of the HDB in 1960 amounts to:

	<i>HDB</i>	
	<i>2022/2023</i>	<i>2021/2022</i>
	\$'000	\$'000
Total grant as at 1 April	42,971,633	38,571,090
Grant for the financial year (Note 16)	5,388,808	4,400,543
Total grant as at 31 March	48,360,441	42,971,633

27. SIGNIFICANT RELATED PARTY TRANSACTIONS

The Group had transactions with its supervisory Ministry, MND, and other related parties during the year at terms agreed between the parties. The balances with related parties are unsecured, interest-free and repayable on demand unless otherwise stated.

For projects which the HDB manages on behalf of the Government or other government agencies on agency basis, the expenditure incurred on behalf of the principals during the year, which are reimbursable by the principals amounted to \$799 million (2021/2022: \$1,256 million). The disbursements and reimbursements for these agency projects were reported on a net basis in the income and expenditure statement.

The following were significant transactions with the Group's supervisory Ministry, MND, and other related parties during the year:

	<i>Group and HDB</i>	
	<i>2022/2023</i>	<i>2021/2022</i>
	\$'000	\$'000
(i) <i>HDB's transactions with:</i>		
<i>Subsidiaries</i>		
Rental income	1,176	1,353
Engineering services	(12,722)	(8,990)
Property management	(153)	(26)
<i>Singapore Land Authority, as an agent for</i>		
<i>Ministry of Law</i>		
Proceeds from return of land, flats, and other properties to Government	20,186	82,307
Agency fee and other income	3,531	3,569
Purchase of land	(5,386,511)	(4,459,694)
Temporary occupation licence fees	(5,494)	(7,615)
<i>Ministry of National Development</i>		
Agency fee and other income	32,635	33,050
<i>National Environment Agency</i>		
Recoveries	16,817	14,760
Rental income	880	880
<i>Ministry of Social and Family Development</i>		
Rental income	12,798	11,682
<i>Ministry of Home Affairs</i>		
Agency fee income	2,775	0
Rental income	117	113

27. SIGNIFICANT RELATED PARTY TRANSACTIONS (*continued*)

		<u>Group and HDB</u>	
		<u>2022/2023</u>	<u>2021/2022</u>
		\$'000	\$'000
(i)	<i>HDB's transactions with: (continued)</i>		
	<i>People's Association</i>		
	Rental income and others	2,068	2,033
	Sale proceeds	1,040	35,471
	<i>Ministry of Health</i>		
	Rental income	1,800	1,465
	Agency fee income	840	692
	<i>Central Provident Fund Board</i>		
	Agency fee	(1,170)	(1,565)
	<i>JTC Corporation</i>		
	Agency fee income	1,056	1,148
	<i>Temasek Polytechnic</i>		
	Rental expenses	(817)	0
	<i>Other Ministries and Statutory Boards</i>		
	Rental income and others	696	1,153
	<i>Town Councils</i>		
	Rental of Town Councils and other income	4,765	4,808
	Operating fee for car park maintenance	(71,137)	(67,323)
	Electrical upgrading and improvement works	(23,347)	(16,454)
(ii)	<i>Subsidiaries' transactions with:</i>		
	<i>Ministries, Statutory Boards, and Town Councils</i>		
	Estate management agency fee income	140,680	124,630
	Rental of premises	(7,001)	(6,793)
	<i>Amounts due to related parties as at 31 March</i>	259,159	236,895
	<i>Amounts due from related parties as at 31 March</i>	197,714	172,528

The outstanding amounts are unsecured. There are no guarantees provided or received in respect of the related party balances. For 2022/2023, the Group had not made any allowance for impairment relating to amounts owed by related parties (2021/2022: \$Nil).

(iii) *Board member and key management personnel remuneration*

	<u>Group</u>		<u>HDB</u>	
	<u>2022/2023</u>	<u>2021/2022</u>	<u>2022/2023</u>	<u>2021/2022</u>
	\$'000	\$'000	\$'000	\$'000
Board Members' and Directors' fees	377	355	264	242
Salaries and other short-term employee benefits	9,931	9,372	9,449	8,874
Contribution to CPF	315	296	302	283
	10,623	10,023	10,015	9,399

28. SEGMENTAL INFORMATION

BUSINESS SEGMENTS

The Group operates predominantly in Singapore, and therefore the revenues are generated mainly from the operations in Singapore and the assets are located principally in Singapore. The accounting policy of the reporting segments are the same as the Group's accounting policy as disclosed in Note 2.

The Group's main operating decision makers are Board Members/Directors and key management personnel of the Group. The operating segments are determined based on the reports reviewed by the Group's main operating decision makers.

The Group's results are presented under seven business segments in respect of the Group's main activities and the government programmes implemented:

Home ownership segment

The Home Ownership segment focuses on providing home ownership flats to eligible purchasers of flats under the various home ownership schemes for public housing.

Upgrading segment

The Upgrading segment focuses on the upgrading programmes to renew and rejuvenate the older housing estates.

Residential ancillary functions segment

The Residential Ancillary Functions segment focuses on implementing housing policies, providing and managing ancillary facilities such as car parks in housing estates, and planning and building administration.

Rental flats segment

The Rental Flats segment focuses on providing rental flats to eligible tenants under the various rental housing schemes.

Mortgage financing segment

The Mortgage Financing segment focuses on providing housing loans to eligible purchasers of flats under the various public housing schemes.

Other rental and related businesses segment

The Other Rental and Related Businesses segment focuses on the provision, tenancy and management of commercial properties and land.

Agency and others segment

The Agency and Others segment encompasses estate management services, architectural and engineering consultancy services, and agency projects on behalf of the Government.

28. SEGMENTAL INFORMATION (*continued*)

2021/2022

2021/2022	Housing						Other Activities					
	Home Ownership	Upgrading	Residential Ancillary Functions	Rental Flats	Mortgage Financing	Eliminations	Total Housing	Other Rental and Related Businesses	Agency and Others	Eliminations	Total Other Activities	Group
	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M
Sale proceeds	4,940	0	108	0	0	0	5,048	35	0	0	35	5,083
Less: CPF Housing Grant (Notes 2.20(a) and 2.25)	(253)	0	0	0	0	0	(253)	0	0	0	0	(253)
Net sale proceeds	4,687	0	108	0	0	0	4,795	35	0	0	35	4,830
Cost of sales before net increase in provision for foreseeable loss	(5,346)	0	(88)	0	0	(17)	(5,451)	(35)	0	0	(35)	(5,486)
Gross (loss)/profit on sales	(659)	0	20	0	0	(17)	(656)	0	0	0	0	(656)
Net increase in provision for foreseeable loss	(2,262)	0	0	0	0	0	(2,262)	0	0	0	0	(2,262)
Gross (loss)/profit after net increase in provision for foreseeable loss	(2,921)	0	20	0	0	(17)	(2,918)	0	0	0	0	(2,918)
External income:												
Interest income	0	1	0	0	974	0	975	0	0	0	0	975
Other income	240	42	760	56	2	0	1,100	705	230	0	935	2,035
Inter-segment	0	0	(19)	0	0	19	0	10	18	(28)	0	0
Total income	240	43	741	56	976	19	2,075	715	248	(28)	935	3,010
Net (deficit)/surplus before government grant and taxation	(3,850)	(392)	(352)	(121)	(29)	18	(4,726)	360	51	(27)	384	(4,342)
Government grant												4,401
Net surplus before taxation and transfer to reserves												59
Taxation												(2)
Net surplus for the year before transfer to reserves												57

28. SEGMENTAL INFORMATION (*continued*)

2021/2022

	<i>Housing</i>						<i>Other Activities</i>					
	<i>Home</i>	<i>Residential</i>	<i>Rental</i>	<i>Mortgage</i>		<i>Total</i>	<i>Other Rental</i>	<i>Agency</i>		<i>Total Other</i>		
	<i>Ownership</i>	<i>Upgrading</i>	<i>Ancillary</i>	<i>Flats</i>	<i>Financing</i>	<i>Eliminations</i>	<i>Housing</i>	<i>and Related</i>	<i>and</i>	<i>Eliminations</i>	<i>Activities</i>	<i>Group</i>
	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M
<i>Segment expenses include:</i>												
Finance expenses	(61)	(1)	(123)	(22)	(942)	0	(1,149)	(49)	(1)	0	(50)	(1,199)
CPF Housing Grant (Note 2.25)	(849)	0	0	0	0	0	(849)	0	0	0	0	(849)
Upgrading	0	(306)	0	(3)	0	0	(309)	(10)	0	0	(10)	(319)
Improvements and demolition	(1)	(47)	(93)	(3)	0	(2)	(146)	(27)	(1)	(1)	(29)	(175)
Depreciation and amortisation	(108)	0	(197)	(75)	(1)	0	(381)	(96)	(21)	0	(117)	(498)
Allowance for impairment losses on loans receivable and debtors	0	0	0	(5)	0	0	(5)	0	0	0	0	(5)
<i>Assets and liabilities</i>												
Segment assets	24,319	78	11,086	4,096	36,638	0	76,217	6,140	895	0	7,035	83,252
Government grant receivable												5,017
Unallocated assets												57
<i>Total assets</i>												88,326
Segment liabilities	22,372	214	7,011	1,373	36,649	0	67,619	4,185	931	0	5,116	72,735
Unallocated liabilities												217
<i>Total liabilities</i>												72,952
<i>Capital additions</i>	934	0	293	69	0	0	1,296	246	0	0	246	1,542

28. SEGMENTAL INFORMATION (*continued*)

2022/2023

2022/2023	Housing							Other Activities				
	Home Ownership	Upgrading	Residential Ancillary Functions	Rental Flats	Mortgage Financing	Eliminations	Total Housing	Other Rental and Related Businesses	Agency and Others	Eliminations	Total Other Activities	Group
	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M
Sale proceeds	6,407	0	121	0	0	0	6,528	1	0	0	1	6,529
Less: CPF Housing Grant (Notes 2.20(a) and 2.25)	(344)	0	0	0	0	0	(344)	0	0	0	0	(344)
Net sale proceeds	6,063	0	121	0	0	0	6,184	1	0	0	1	6,185
Cost of sales before net increase in provision for foreseeable loss	(7,263)	0	(104)	0	0	(14)	(7,381)	(1)	0	0	(1)	(7,382)
Gross (loss)/profit on sales	(1,200)	0	17	0	0	(14)	(1,197)	0	0	0	0	(1,197)
Net increase in provision for foreseeable loss	(2,712)	0	0	0	0	0	(2,712)	0	0	0	0	(2,712)
Gross (loss)/profit after net increase in provision for foreseeable loss	(3,912)	0	17	0	0	(14)	(3,909)	0	0	0	0	(3,909)
External income:												
Interest income	0	1	0	0	965	0	966	0	3	0	3	969
Other income	290	43	772	58	13	0	1,176	808	203	0	1,011	2,187
Inter-segment	0	0	(16)	0	0	16	0	11	19	(30)	0	0
Total income	290	44	756	58	978	16	2,142	819	225	(30)	1,014	3,156
Net (deficit)/surplus before government grant and taxation	(4,680)	(558)	(432)	(141)	(10)	23	(5,798)	430	33	(30)	433	(5,365)
Government grant												5,389
Net surplus before taxation and transfer to reserves												24
Taxation												(2)
Net surplus for the year before transfer to reserves												22

28. SEGMENTAL INFORMATION (*continued*)

2022/2023

2022/2023	Housing							Other Activities				
	Home Ownership	Upgrading	Residential Ancillary Functions	Rental Flats	Mortgage Financing	Eliminations	Total Housing	Other Rental and Related Businesses	Agency and Others	Eliminations	Total Other Activities	Group
	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M	\$'M
Segment expenses include:												
Finance expenses	(72)	0	(141)	(26)	(929)	0	(1,168)	(58)	(2)	0	(60)	(1,228)
CPF Housing Grant (Note 2.25)	(686)	0	0	0	0	0	(686)	0	0	0	0	(686)
Upgrading	0	(472)	0	(4)	0	0	(476)	0	0	0	0	(476)
Improvements and demolition	(1)	(56)	(130)	(6)	0	(2)	(195)	(30)	(1)	(1)	(32)	(227)
Depreciation and amortisation	(129)	0	(203)	(75)	(1)	0	(408)	(101)	(20)	0	(121)	(529)
Allowance for impairment losses on loans receivable and debtors	0	0	0	(4)	0	0	(4)	(2)	0	0	(2)	(6)
Assets and liabilities												
Segment assets	24,576	86	11,186	4,175	38,282	0	78,305	6,184	986	0	7,170	85,475
Government grant receivable												3,275
Unallocated assets												134
Total assets												88,884
Segment liabilities	22,349	237	6,503	1,300	37,884	0	68,273	4,151	884	0	5,035	73,308
Unallocated liabilities												203
Total liabilities												73,511
Capital additions	1,492	0	345	128	0	0	1,965	184	0	0	184	2,149

29. COMMITMENTS

(a) *Building project commitments*

The following commitments for building projects are not recognised in the financial statements:

	<u>Group and HDB</u>	
	<u>2022/2023</u>	<u>2021/2022</u>
	\$'000	\$'000
Authorised and contracted for	12,117,128	11,794,886
Authorised but not contracted for	3,111,251	3,016,408
	<u>15,228,379</u>	<u>14,811,294</u>

(b) *Operating lease arrangements — as lessor*

The Group leases out its properties to non-related parties. The future aggregate minimum lease receivables under non-cancellable operating leases contracted for at the reporting date but not recognised as receivables are as follows:

	<u>Group</u>		<u>HDB</u>	
	<u>2022/2023</u>	<u>2021/2022</u>	<u>2022/2023</u>	<u>2021/2022</u>
	\$'000	\$'000	\$'000	\$'000
Within 1 year	36,449	61,445	32,002	57,405
After 1 year but within 5 years	18,553	41,295	18,289	38,309
	<u>55,002</u>	<u>102,740</u>	<u>50,291</u>	<u>95,714</u>

30. CONTINGENT LIABILITIES

Housing Subsidies for SC/SPR Households

The Citizen Top-Up Grant is a \$10,000 housing subsidy that is given to eligible Singapore Citizen/Singapore Permanent Resident (SC/SPR) household when a qualifying household member becomes a Singapore Citizen, or when an SC child is born to the SC applicant/owner and spouse originally listed in the flat application. It is available to SC/SPR households who have paid a premium of \$10,000 for the purchase of an HDB flat direct from HDB, or taken a lower quantum of CPF Housing Grant for the purchase of a resale flat or an Executive Condominium.

The policy is estimated to have a financial effect of \$164 million (2021/2022: \$157 million). Given the uncertainty on the eventuality of SC/SPR households fulfilling the eligibility criteria (and therefore the timing and quantum of the obligation), no provision has been made in respect of this policy.

31. DELIVERY OF BUILD-TO-ORDER FLATS

With the improving Covid-19 and migrant manpower situation, as well as government support for the construction industry, HDB is working towards delivering Build-To-Order (“BTO”) flats to flat buyers by the Delivery Possession Date (“DPD”), which is the contractual date by which HDB is required under the Agreement for Lease to deliver possession of the new flat to the flat buyer.

In the event that flats are completed after the DPD, flat buyers can seek reimbursement for qualifying costs incurred for delays beyond the DPD. Estimated costs of reimbursements to flat buyers are reported in the Group’s results, when HDB has ascertained that the project cannot be completed by DPD and flat buyers will be notified accordingly. Such delays beyond the project DPD, if any, has no material adverse effect on the Group’s results for the financial year ended 31 March 2023.

32. AUTHORISATION OF FINANCIAL STATEMENTS FOR ISSUE

The financial statements for the financial year ended 31 March 2023 were authorised for issue by members of its Board on 29 May 2023.